# THE SAAS SALES METHOD

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WINNING BY DESIGN

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## INTRODUCTION

How we were taught in school growing up is based on misinterpreted research - adults do not learn best from lecture style teaching - especially for business skill development.

That's why we've built this course differently.

This book is designed to compliment the online courses and live training sessions to offer deeper explanations.

| | |
|---|---|
| **Why do we sell?** | Because we believe it is a worthy mission to help a customer solve their problem, creating the impact that helps them succeed. Modern salespeople prefer to help their customers buy in contrast to helping their company to sell. |
| **How do we sell?** | By utilizing best practices gained from years of experience across a variety of methodologies. Not just one. A modern enterprise salesperson should be able to move fluidly from a provocative methodology to a consultative one. |
| **What skills do we use?** | A modern enterprise salesperson should rely first and foremost on the fundamental skills of empathy, communication, and relationship building. Those basic skills can be augmented by technology, but they can never be replaced. |

This book is broken into 4 parts that align with the course

**Part 1. Sales as a Science - How sales has changed**

Provides an understanding of different sales methodologies, and how to leverage the best each has to offer. All based on a simple framework that addresses the basic question any client has: "*what impact can I expect to achieve by which date?*"

**Part 2. Diagnosing is the Key Element of selling**

Every purchase is the result of a series of meetings. The result of the meeting is the result of the quality of the *conversation*. Better conversations = better meetings = better results. The person who executes better diagnosis during meetings has a disproportionately higher chance on earning the client's business.

**Part 3. Prescribe the best solution for your customer**

A sales professional helps dozens if not hundreds of clients a year. Whereas most buyers purchase a solution maybe 1 to 2 times a year. This makes it the sales professional's responsibility to assist the client through their buying process based on their context - not just selling them more of your product/solution.

**Part 4. Earn commitment for a long term partnership**

Securing a strong and lasting partnership with your customer must be based on a win-win agreement. Traditionally sales people are only measured on their ability to "Always be closing" - but negotiation rooted in compromise leaves both parties starting their new relationship on the wrong foot.

Most of these skills are traditionally taught classroom style. You will not be forced to watch slides without any real-time practice. To master these skills you must apply them. Start today. As Bruce Lee famously said, "*Knowing is not enough, we must apply. Willing is not enough; we must do.*"

# PART 1 Sales as a Science

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## Chapter 1: The SaaS Sales Method

## Chapter 2: The Science of Effective Communication

## Chapter 1

# THE SAAS SALES METHODOLOGY

To earn customers in a B2B environment, you deploy a sales methodology. This sales methodology will dictate your sales process. The sales methodology is not the same for every customer or market. For example, you can't expect to apply a $100,000 consultative sales effort to help a customer buy a $5/month service. On the other hand, you also can't expect to win a $1M deal by only spending $5 in effort! This indicates there are different B2B sales methods. B2B sales are governed by the following methodologies.

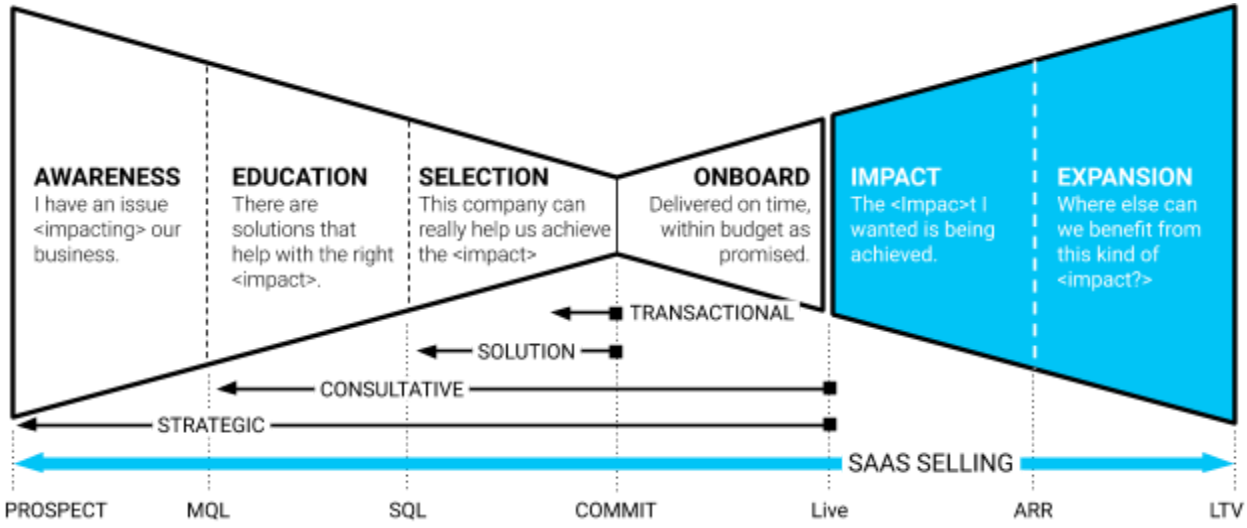



*Figure 1.1 Selling Methodologies that govern B2B sales today*

## 1.1 Transactional Selling

The transactional sales process is a reactionary one. Customers know what they want and they are price shopping for lead times. They may be willing to forfeit a specific feature if it can save them a lot of money. Clients prefer salespeople to be excluded from the process, or replaced by web-based chat to which they receive get-to-the-point, short answers.

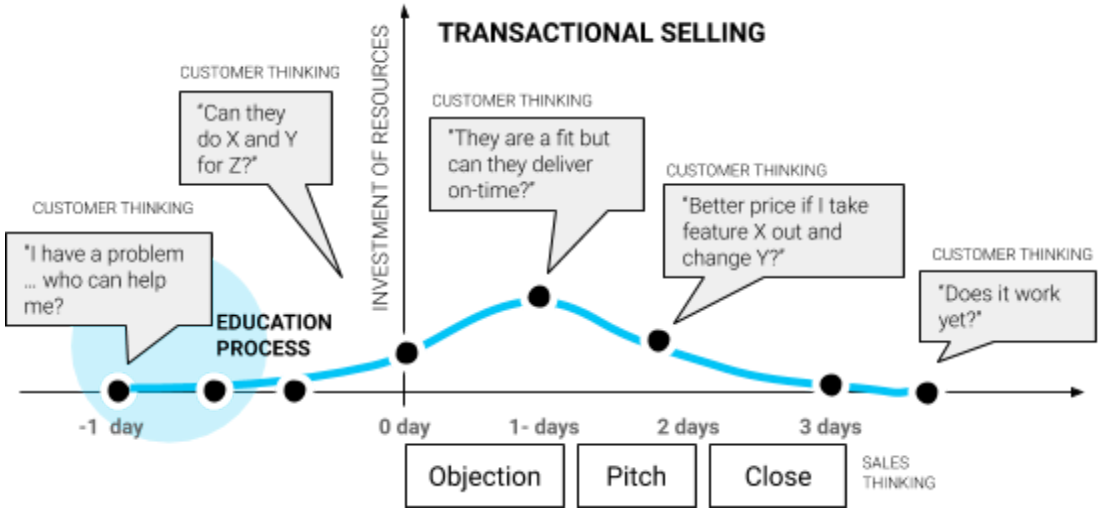



*Figure 1.2 Transactional Selling in which clients do most of the education on their own*

**When to use?** Transactional selling is best used in high volume, high velocity, inbound, or low cost environments. Think of selling <$1,000 ACV, <30 day sales cycle, and 20+ deals/month per AE.

## 1.2 Solution Selling

The solution sales process is a reactionary process. A customer understands the problem and has a pretty good idea of what solution they are looking for. They are not quite price shopping (making it transactional) and looking for specific features they are willing to pay more for. They may have narrowed it down to two or three providers all by themselves by the time they reach out to you.

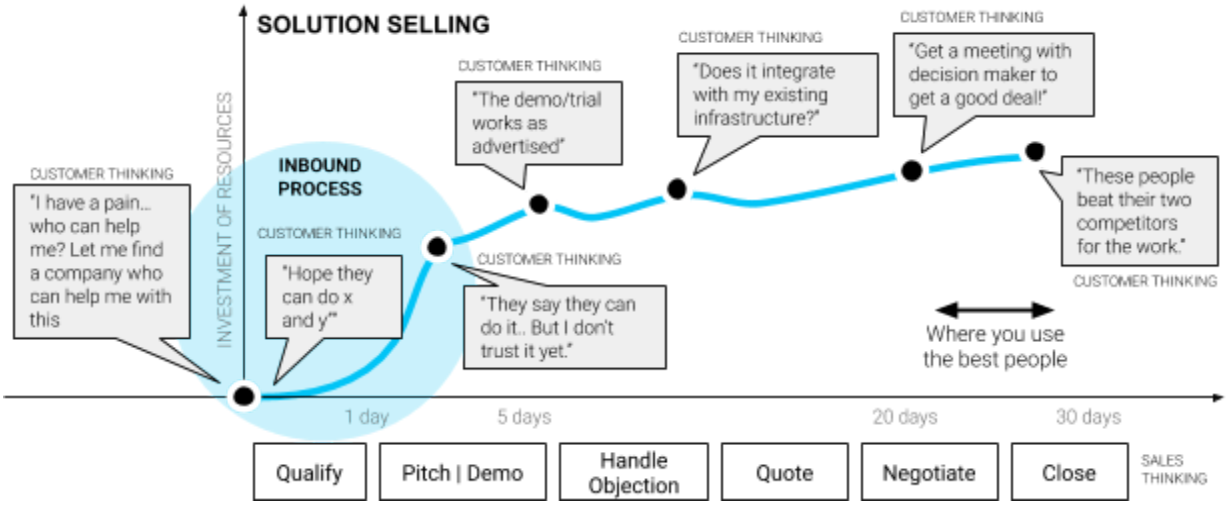



*Figure 1.3 Solution Selling often following an inbound lead*

**When to use?** Solution selling is best used in medium volume, high velocity based inbound. Think of selling $5,000 ACV, ~30 day sales cycle, and cutting 5-10 deals/month per AE.

## 1.3 Consultative Selling

In consultative selling, you are investing early-on in the client to educate them regarding what is important based on what you have seen in the market. You are educating the customer and helping them understand the real problem and how to look for the right solution. Your experience is represented in their requirements in the form of features and functionality. You may help them write the RFP/RFQ.

This kind of deal is often earmarked with a Proof of Concept making the consultative sale significantly longer. What you notice is that during the consultative sales process, we gradually ramp up the quality of resources used as we navigate through the client's organization.

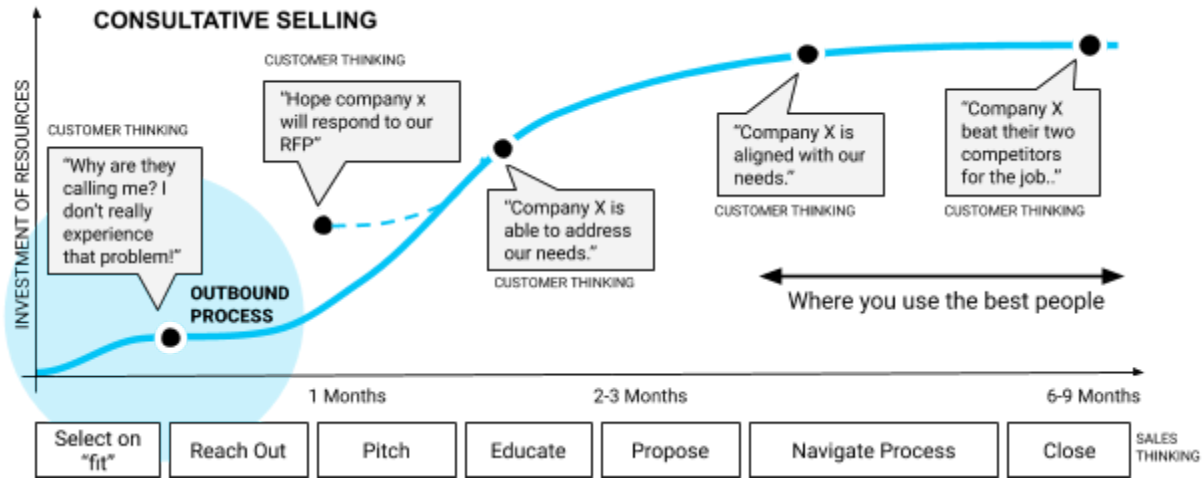



*Figure 1.4 Consultative Selling often following outbound lead generation/development*

**When to use?** Consultative selling is best used when you are selling platform-like solutions involving a number of decision makers. Think of a CRM for $20-100k ACV, 6-18 month sales cycle, and 1-3 deals/quarter per AE.

## 1.4 Provocative Selling

When you are representing an innovative solution that challenges the status quo, you cannot rely on the consultative process as most clients do not realize there is a problem lurking. In particular, RFP/RFQ, which is a process designed to flush out lowest price/minimal spec. Thus, you have to rely on provocative selling which has gained popularity through a methodology called the *Challenger Sale*.

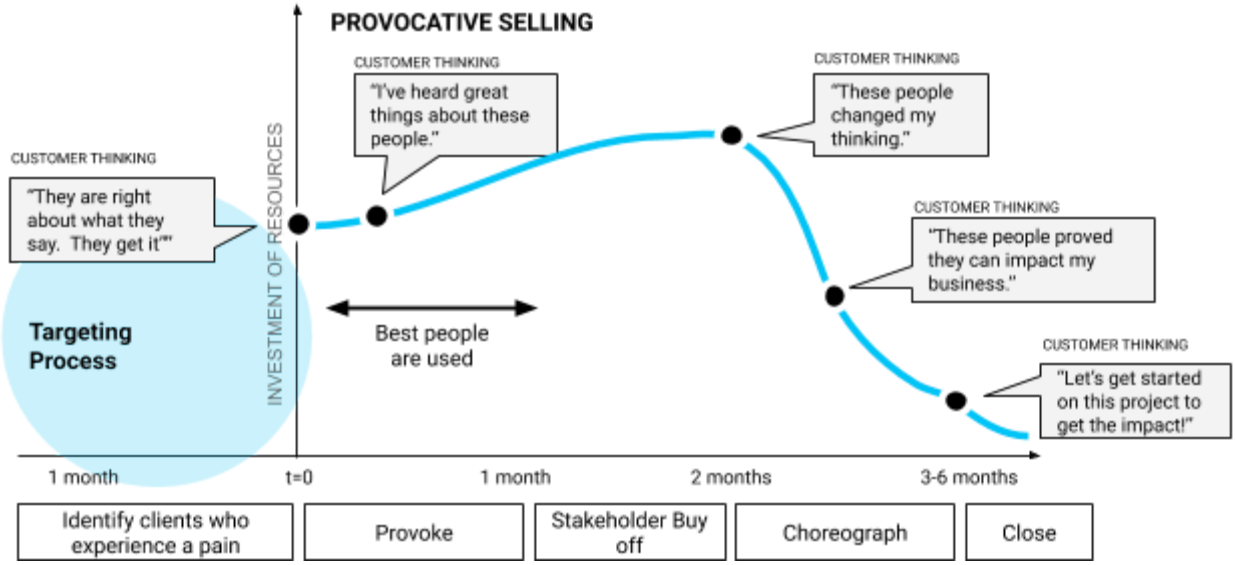



*Figure 1.5 Provocative Selling only recommended to deploy on specific accounts*

**When to use?** Provocative selling is best used when selling innovative solutions that address a CEOs top issue. Think of a revolutionary way to do ERP, 6-9 month sales cycle, $250k ACV and 1-2 deals/quarter per AE.

## 1.5 SaaS Selling

The SaaS Sales Method is the sales methodology first developed and implemented by software as a service to companies where a large percentage of customer lifetime value is realized after the initial sale. The SaaS Sales Method modernizes and extends prior selling methodologies but does not replace them. It does so by adapting these methodologies to fit smaller initial deals and higher velocity sales cycles where much of the selling happens over the phone or online.

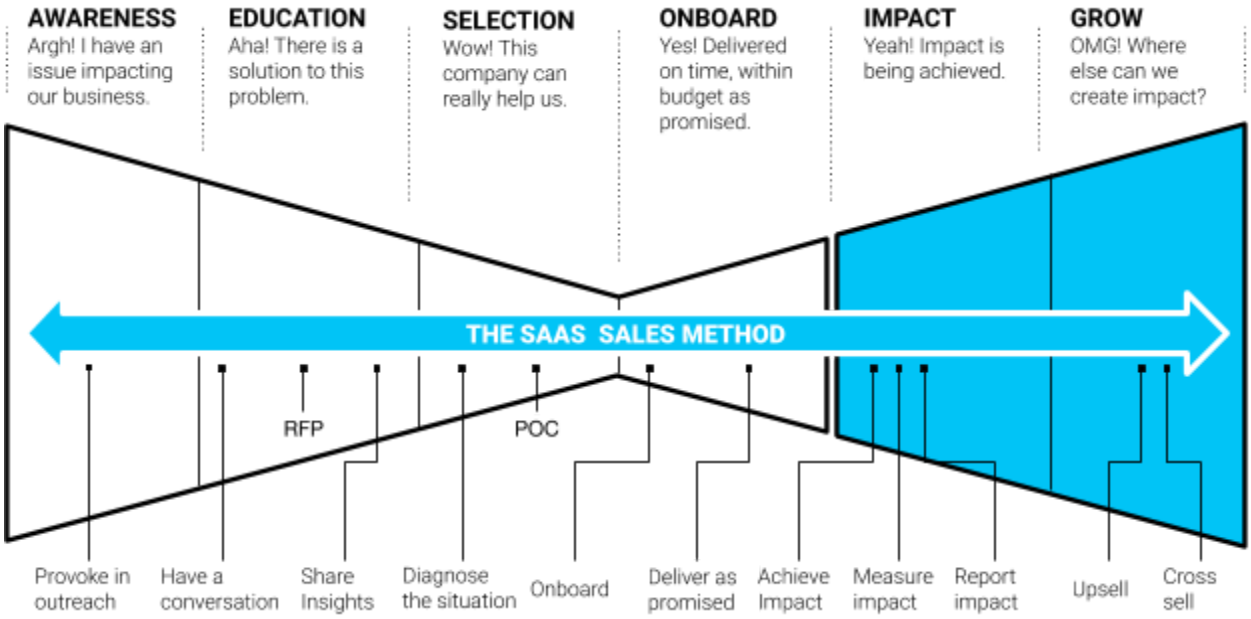



*Figure 1.6 The SaaS Sales Method: A customer centric methodology*

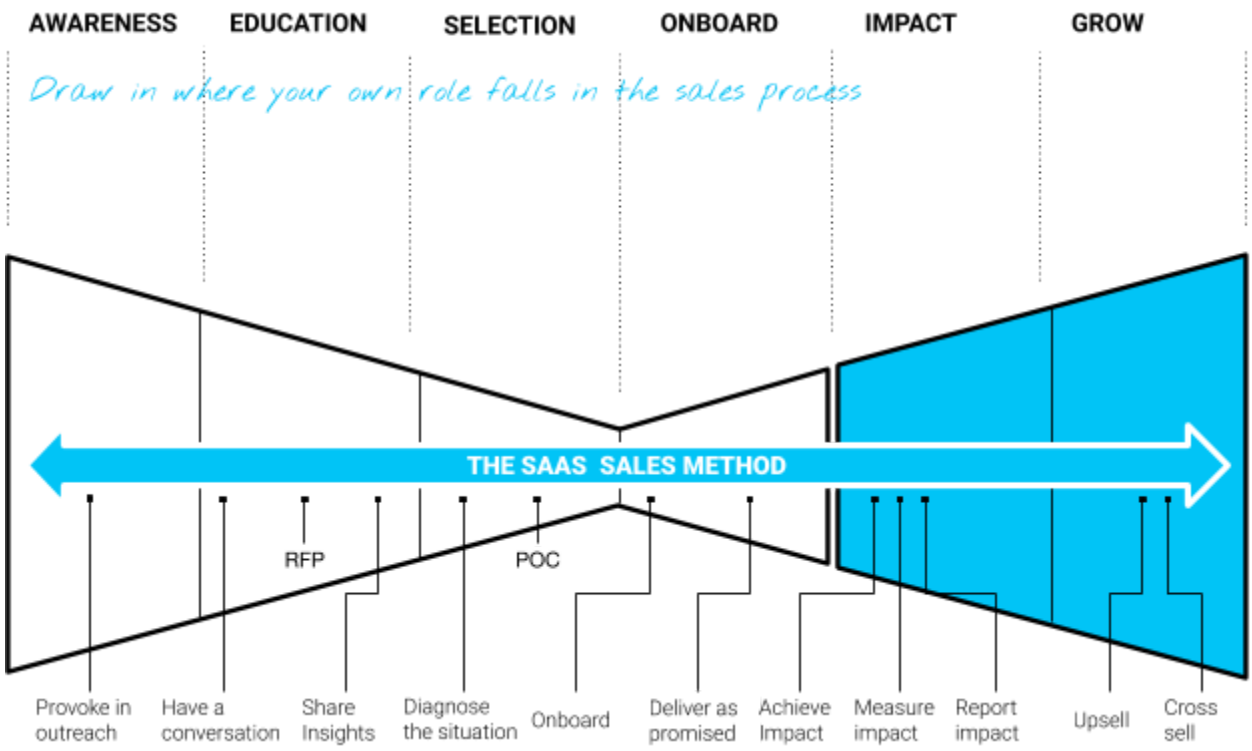
The SaaS Sales Method extends selling methodologies to also include the processes for demand generation and prospecting as well as post-sales activities including customer success and account management. A hallmark of the SaaS Sales Method is to not only make a customer aware that they have a problem, but also to constantly show the ***impact*** of the solution in a way that is coordinated and ongoing.

This requires that the organization be able to sell using the approach required by the situation - transactional, solution-based, consultative, and/or provocative. It also requires that the customer-facing teams on the far left and the far right of the bowtie leverage the very same skills and processes to establish and continue to communicate customer impact.

Revenue leaders must think about the entire customer journey, a journey in which marketing, sales, and customer success are required to work together as a unified team to tackle the changes of a modern B2B sales.

In the SaaS Sales Method, all segments of the bowtie should be treated in the same way. A single, science-culture, go-to-market plan, and sales methodology should apply across the customer journey. Each of the key disciplines should define a clear process, implement it via technology, enable the team, foster key skills, and organize the team in a deliberate and systematic way.

*CHAPTER 1 NOTES and REFLECTION*



## Chapter 2

# THE SCIENCE OF EFFECTIVE COMMUNICATION

# CONVERSATION

Your interest in helping a client resolve their problem has to be authentic. It cannot be manufactured, and you should not use authenticity as a trick to close a deal. More and more marketing organizations are making authenticity a concept; they recommend the use of certain words, record videos on your LinkedIn, etc. We do not believe this is sustainable.

### 2.0 Principles of a Customer Centric Conversation

If you follow the next five principles, you are genuinely authentic, and not fabricating it:

Principle 1. Understand their *pain* Do your research and only reach out to those who have a pain or those you can help to avoid it. Do not reach out to people who are "just a fit."

Principle 2. First emotional, *then* rational Understand that generally emotional impact benefits people first and rational impact benefits corporations first. Focus first on the emotional impact.

Principle 3. Educate, *not* pitch Trust that if you educate the customer, they will make the best decision. Therefore, help your customers think through the problem they

are experiencing, and share best practices of others who experienced the same.

Principle 4. Assist the *buying* process People hate being sold but they love to buy. So why don't we stop the selling and, instead, focus on helping them to buy.

Principle 5. Provide value in *every* interaction Don't just do check-ins; provide value in every interaction with every client, every time. Offer market information, insights, use-cases and whatever else you can to add value.

If you master the above principles, you will be genuinely authentic, not because it helps you close a deal, but because during the process of executing the above principles, you have become someone who cares.

## 2.1 Conversation, not Qualification

One of the first things all salespeople are taught is BANT qualification. This is the task of determining if a person representing a company with characteristics, such as budget authority, need/intend to purchase, and if they have the budget. It qualifies the customer to continue in the sales process, and gain access to resources such as a PoC.

When we were selling IBM Mainframe computers, this made a lot of sense. There were only a few mainframes to go around and everyone wanted them. However, the cost of selling entailed tens of thousands of dollars with access to specialized resources such as engineers and architects that provided their expertise around integration into the customer's infrastructure. Sales needed to use a defined set of questions to extract concessions from a customer, and based on the answers, determine if this was a priority for the seller. In today's world, a SaaS solution can be integrated into a cloud platform with a single click, or the provision of a login via an email. Outdated qualification methods designed around multimillion dollar products do not apply to high velocity sales. The client has lots of options and budget is not generally a problem.

So instead of qualification, we recommend the fundamental skill of conversation to establish the priority and the impact the client is looking to achieve. The framework for teaching conversation skills is built on an easy to remember acronym, TALKER.

## 2.2 How to Start a Conversation

A conversation is a more natural, more human thing. It connects with the prospect on an emotional level and tries to further uncover their real, pressing problem. It is the moment in which a hypothesis about customer impact can be fleshed out by a trained professional.

**Step 1.** **Tone of voice,** not just in the use of an actual voice, but the use of emoticons in chat and email. One of the key elements of tone is speed; for example not being too fast in person, but responding very fast in chat.

**Step 2.** **Ask questions.** Master not only closed and open-ended questions, but also learn to ask diagnostic questions like a doctor would.

**Step 3.** **Listen actively** to patterns in the customer's words, their tone, and even their emotional state. Learn how to recognize emotional words.

**Step 4.** **Keep accurate but brief notes**, differentiating situation, pain, and impact while identifying causality.

**Step 5.** **Elaborate** and follow the thread of a conversation while teasing out pain and impact.

**Step 6.** **Repeat** what you've heard to ensure you understand what is being said.

These steps spell out TALKER. As you can see in the next blueprint, we can apply TALKER in all kinds of moments to start a conversation; email, phone and social interactions.

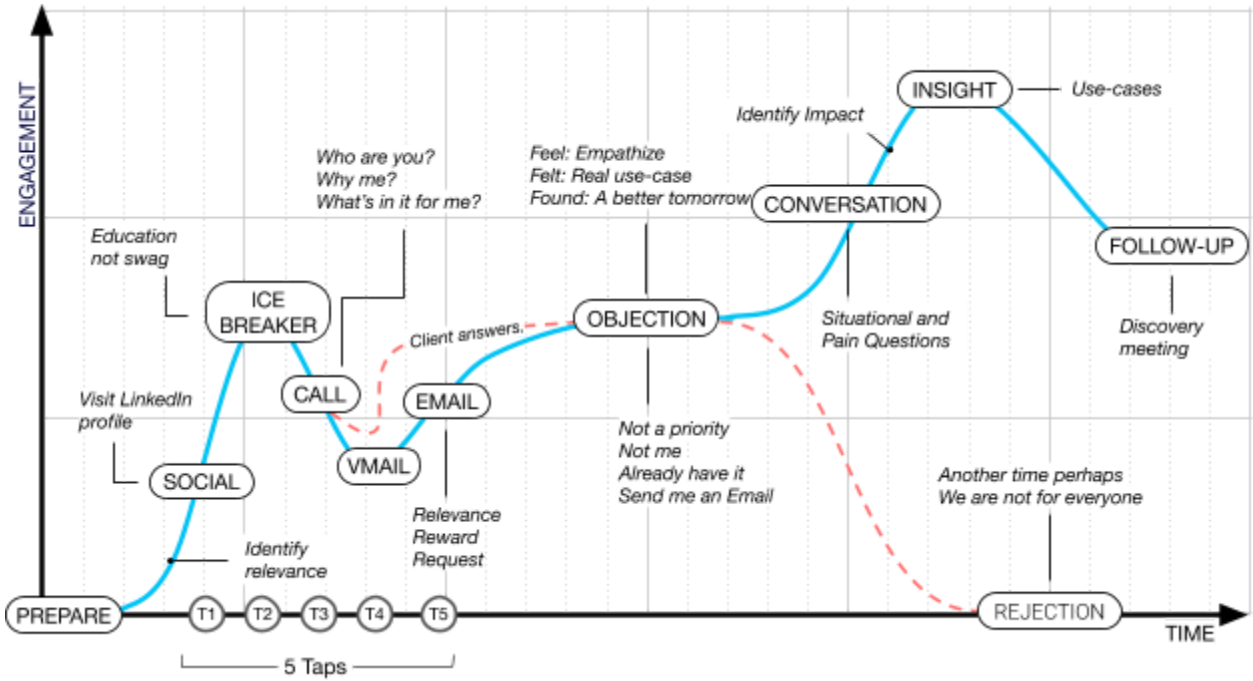



*Figure 2.1 How to apply TALKER conversation techniques to initial customer calls*

Coming out of this moment, you should have a very clear idea of whether and how your product can impact the customer's business. More importantly, you should have managed the conversation in a way that the customer themselves have verbalized the problem and envisioned a potential solution for themselves.

## 2.3 Four Strategies to Engage

As you approach an account, you need a blueprint - a plan that outlines what to do. In this section, we outline a variety of plays to use for engaging with an account.

## Strategy 1 Create Awareness - Visit all relevant LinkedIn profiles

LinkedIn has a benefit for you to do research on their platform - customers can see that you looked at their profile. This soft-touch can help with a warmer introduction when you have a phone call and they put a name to the voice. By visiting these profiles, you are establishing brand awareness as they visit their "Who viewed me" page. Remember, before you do this, make sure you have set up your LinkedIn profile to be customer-centric.

**Great for these situations:**

- First touch
- Right before a call
- Establishing awareness in a key account

**Pros:**

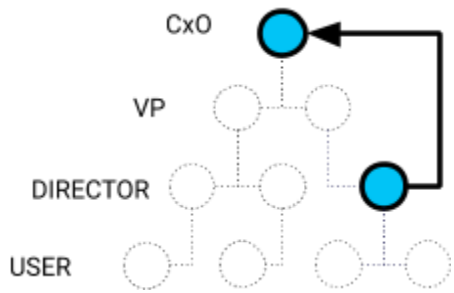
- Easy to do
- Automate using tools
- Non-intrusive

**Cons:** Need a level of insight/intelligence

## Strategy 2 Aim low to hit high - Turn users into influencers

In this approach, you target the actual users of your target company's product. You can target them directly (via the RRR method) or indirectly:

- Comment on a blog post/tweet, like, share, etc.
- Publish your own blog post - then share it with them (ask a mutual connection to forward)



**Great for these situations:** When you offer a user driven service and want to gain foothold of existing demographic and technographic qualification criteria.

**Pros:** Fault tolerant - e.g. you have lots of users to practice on

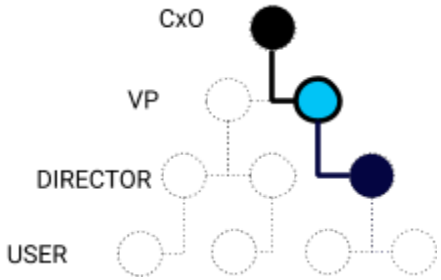
**Cons:** Takes a long time to get to a decision maker

### Strategy 3 Group Approach - Use CEO statement to light a fire

Loop in three people in the same department on one email where you address the message to one person, and put the other two as CC. Align everyone based on the CEO statement, and leverage information learned from Play 2 to share insight on where you can fit in to their existing priorities.

**Great for these situations:**

- Individuals are not responding to you
- Unclear to you who is doing what
- After Play 1 and Play 2




**Pros:**

- Effective when done right
- Get a quick response

**Cons:**

- Can be very intrusive when not done right
- Difficult to automate

**Example:** When you address multiple people you cc: the most senior person. What will happen is that the person responsible will respond to you.

*To: Jennifer (Mgr),* *Cc: Alan (VP), Alan (Mgr)*

*Subject: Per your CEO*

*Hello Jennifer,*

*You are all involved in the _____ process. Your CEO Mike stated in the recent funding announcement that he wanted to double revenue in the next year.*

*{{Company ABC}} had similar goals like yours and accomplished this by {{value1}} and {{value2}}.*

*Let me know if any of you are interested to learn about the details of this story and how it can impact you. .*

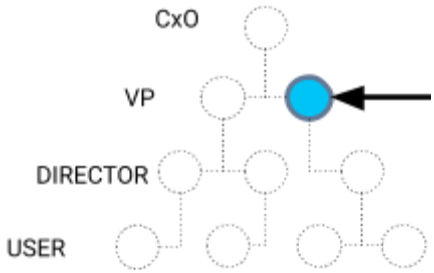
## Strategy 4 Go Direct

**Great for these situations:**

- When you found the right person
- There is a trigger event that makes your outreach relevant

**Pros:** Effective when done right

**Cons:** Requires research and can be intrusive when not done right



*NOTES and REFLECTION*

*What does TALKER stand for? What are the key takeaways for each part?*

| | |
|---|---|
| **T** | |
| **A** | |
| **L** | |
| **K** | |
| **E** | |
| **R** | |

***Complete this sentence:***

*To improve how I communicate with confidence, I will commit to*

# PART 2. Moments that Matter: Diagnose

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## Chapter 3: Blueprint of a Perfect Discovery Call

## Chapters 4: Diagnose through Question-Based Selling

## Chapter 3

# BLUEPRINT OF A PERFECT DISCOVERY CALL

### 3.0 Meetings

Today most business is the result of a series of meetings, including phone meetings. The quality of each meeting determines how many meetings you need. We've found that successful sales people have fewer and shorter meetings.

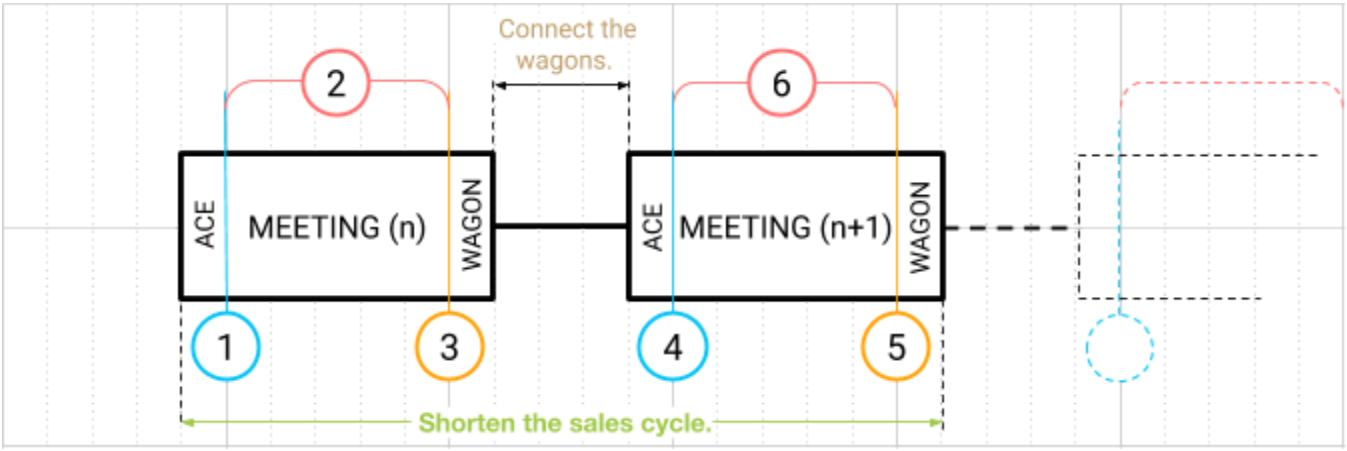


*Figure 3.1 How to stage meetings to achieve the goal and shorten the sales cycle*

The goal of each meeting is simple;

1. Get the right people in the meeting

2. Achieve end goal and next steps = Improve the conversion rate of the meeting
3. Do it in quick, consecutive meetings = Shorten the sales cycle

## 3.1 How to Stage Meetings

By reviewing tens of thousands of sales meetings, both in person and on the phone, we've found that great meetings follow a consistent blueprint:

**Step 1.** ACE the opening of every meeting.

**A**ppreciate: *Appreciate you taking the time to meet today.*

**C**heck time: *Are we still good till 11am?*

Set **E**nd goal: *This is an introductory call to see if we can help you. If so, we normally move forward with _____. Does that sound right?*

**Step 2.** Present an agenda to *meet the end goal* and ask the client to contribute;

- *What else would you like to discuss today?*

**Step 3.** At the end of the meeting, ask if the goals were met;

- *May I ask, based on what we discussed today, do you think we can help you?*

**Step 4.** If so, confirm that the client is ready to move forward;

- *Are you ready to move forward with a demonstration?*

The next is a critical part where we link to the outcome of the next meeting.

**Step 5.** Set the stage for the next meeting;

- *Have you done a demonstration like this before?*
- *What has been the outcome of a successful demo in the past?*

**Step 6.** There are three ways to get the right people in the room to achieve the end-goal.

Ask with a open-ended question:

- *Is there anyone else who can benefit from attending this demonstration?*

Ask with a close-ended question:

- *Mary is your head of Sales Ops right? Do you think she can benefit from attending the demonstration?*

Ask with a Third-Party reference:

- *I recently did a demo with {{first name}}, she is one of your peers and decided to bring in her head of Sales Ops to address the integration with your CRM. I notice Mary is your head of Sales Ops. Do you think she can benefit from joining us?*

Regardless of the outcome, you can always follow-through:

- *Since Mary can/can't join us, what does she normally care about?*

## 3.2 Root Analysis of How it goes Wrong

Having been on thousands of calls, below are the most common mistakes we see being made in the field resulting in delayed sales cycle and reduced change on winning the deal.

Step-by-step analysis:

1. ACE sets up end goal, end time of the meeting, and agenda on how to achieve this;
2. At the end of the call, seller asks if the goals were met;
3. Buyer agrees to the next step;
4. During the demo, ACE is forgotten by the seller. Yikes!

5. The decision maker (DM) has to leave the meeting early;
6. You want to follow-up but buyer says it has to run it by the DM and asks you to send material by email for them to review.

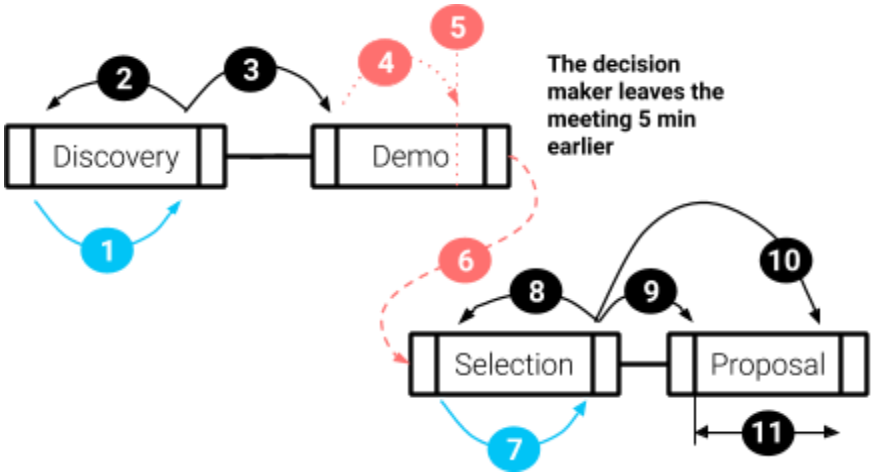


*Figure 3.2 Most common impact of not-staging the meeting correctly*

Deal goes dark as buyer seemingly falls off the face of the earth. Weeks later, the buyer resurfaces and asks for a meeting with the stakeholders.

7. This time, ACE is used, and the stakeholder is confirmed to be on the call, end-time is verified, and goal is set;
8. At the end of the call, the seller once again asks if the goals were met;
9. Everyone agrees to the next steps;
10. Seller sets the end-goal of the next meeting.

Seller asks/recommends who should be in the meeting.

*CHAPTER 3: NOTES and REFLECTION*

| | |
|---|---|
| **Step 1** **A** I appreciate...<br>**C** 30 mins, work?<br>**E** _____ | Write 1 sentence for an end goal that you will say on your next scheduled call (*hint:* make it about the customer) |
| **What is the open ended question after the Agenda?** | |
| **Connect the Wagons** | |
| **What else is important about orchestrating the meeting?** | |
| Additional take-aways | |

# CHAPTER 4 Diagnose through Question-Based Selling

## 4.0 Questions

Unlike you were taught in school - there is such a thing as a bad question.

| CLOSED QUESTIONS | OPEN QUESTIONS |
|---|---|
| Usually receives a single word or very short, factual answer. For example, "How many people work for you?" The answer is "6"; "What is your title?" etc. Closed questions often get a short response. They are important to open and close conversations. | Requires longer answers; open questions require the customer to contribute knowledge on the topic, and better yet, an opinion. They usually begin with asking, why do you do this…, how are you doing that..., and what are your plans for... |
| **Without context:** Are you the VP of Sales?<br><br>**With Context:** I noticed on LinkedIn that you are the VP of Sales did I get that right? | **Without context:** What is keeping you up at night?<br><br>**With Context:** People I spoke to say that they have issues with ___ and ___. May I ask what are the key issues you run into? |
| **Best used to:**<br>● Start up a conversation<br>● Establish the base situation:<br>"How many employees?"<br>"Where are your teams located?"<br>● Get an honest answer at a critical moment:<br>"Are you ready to move forward?"<br>● Setting up a conversation:<br>"Are you happy with your provider?" | **Best used to:**<br>● Speed up a conversation as the customer gets comfortable:<br>"How is your current process for..."<br>● Identifying the impact:<br>"What would happen to your business if you ..."<br>● Establishing a value proposition:<br>"What would 10% more mean..." |
| **PRO TIP** If you find your customer not very responsive/engaged in the conversation, you | **PRO TIP** Asking repetitive why/how questions gets boring quickly. Change it up with more |

| | |
|---|---|
| probably are asking a lot of closed questions. Try asking a simple open question. | conversational questions, such as "May I ask how..." and "Can you describe..." |

The most common bad-advice given to sales people is “only ask open-ended questions”. There is nuance to asking great questions - too many closed-ended in a row: you sound like an interrogator. Too open ended? You sound too salesy (e.g. “What keeps you up at night?”).

## 4.1 Diagnose through conversation

**Situational Questions: “How many offices do you have?”**

Situational questions deal with facts about the customer’s existing circumstance. Because they usually give you simple background information, they are often close-ended. These questions are used to understand 1) if the customer is qualified, 2) their level of understanding of their own problem, and 3) how much knowledge they have about potential solutions.

Although asking ten of these in a row sounds like a game of “20 Questions” - or worse, an interrogation - when used properly, they can make you sound like an expert by setting the stage and demonstrating you’ve done your research. Then they infer that you can help them solve real problems.

Thoughtful situational questions are key! But be careful: the problem with asking too many situational questions in a row will make the customer feel like they are being grilled. Not a good experience. You can avoid this by adding your own insight and turning it into a conversation, but also eliciting your customer to provide more detailed feedback.

Situational questions help set context to ask open ended questions that help you come across conversational and not salesy. They can be used to confirm that your research is accurate or if their circumstances have changed since your last conversation.

**Situational questions without context** can be asked to anyone, because they don’t require any prior knowledge. Examples: What is your title? How many employees do you have? Do you use Salesforce for your CRM?

These questions can be boring to answer as they are only to help the “sales” person get info - it’s not interesting to give this information - so don’t ask too many of these questions in a row.

**Situational questions with context** however show that you’ve done the research. This is a powerful influence technique because we all love knowing that the person we’re talking with knows about us, and therefore we are more likely to open up to them. When you can, use context to come across prepared and professional. Example: I noticed on LinkedIn there are 20 sales people working out of your New York office. Did I get that right?

Intent matters more than execution - so don’t be overly concerned with getting a detail wrong. If you ask if they have 3 locations, but they actually have 4, the benefits of showing you tried to research out-weigh the potential negative of getting the info wrong.

A common mistake is to fake it by saying something generic that “tells” you’ve done research instead of “showing”. For example do not say this “I’ve done a lot of research on your company, but in your own words, could you tell me a bit about your role and the focus of your product?”

**Pain Questions: “What pains or challenges are you experiencing?”**

Pain questions are where you find the pain, or the challenges that they are experiencing. They are open-ended questions where the answers point inward toward the person you are speaking with, or their team.

The benefit of pain questions is that people prefer answering these questions compared to close-ended questions because it is more interesting than just answering facts. If you haven’t built trust through providing value or showing you know about their business, they will give you a high-level generic answer like “Of course the business needs more revenue.”  Reference what you have already learned through situational (S) questions, and make it relevant to your customer.

These questions are about the customer; both for their business, and to establish personal priorities. If they tell you they just raised a round of funding and are planning to build out the sales team, find out how they will share best practices with the new reps to ramp quickly.

Pain questions don’t need to always be “negative-context” like “what pain do you have?” or “what challenges are you experiencing?”.  You can get the same answer through a neutral question like “what is your process for ramping new sales professionals?” or “how do you implement feedback from your customers into your product?”.

**BAD EXAMPLE** Too cliche and insincere - avoid questions that are too broad like this one: “What keeps you up at night?”

This question has been overused, and is too general.  You customer may respond saying that his newborn is keeping him/her up - which is unlikely you’d be able to help them solve.

**Negative-context example:** What is your biggest challenge entering data into your CRM?

**Neutral-context example:** How does your sales team enter data into your CRM?

**Positive-context example:** What benefits have you had from your data-entering process?

*Figure 4.5  Building Engagement Through Questions*

**EXAMPLE Below we are stringing 2 close-ended situational questions together leading to 2 open-ended pain questions**

*[S] Are you currently using multiple programs to collect data?*

*Yes*

*[S] What tools are you using*

*We are using, X, Y, and Z*

*[P] What is your team's process for using Z?*

*Yes a few*

*[P] What kind of challenges does that lead to for _____?*

*It cause us ___ and ____*

The next step is to build on the pains they have and the impact that these have on their business.

**Impact Questions:** An open ended question that expands on the pain as it relates to other parts of the business.

*Figure 4.6 Ask Impact Questions after Pain for Maximum Engagement*

Impact questions are the meat and potatoes of a great sales conversation. The goal of these questions are to identify the impact that gets delivered by solving the pain. We dive deeper into the power of impact in the next chapter.

Help your customers realize the impact to their business beyond just the symptoms of pain, and then link the problem to other potentially bigger issues they never considered to encourage eagerness to find a solution.

When asked at the right stage of your conversation, they will unlock the door to achieving a positive outcome when leveraging your solution. This will result in more alignment during negotiation, and a higher contract value.

The easiest way to get started asking impact questions is by using the word “impact” in the question. For example: “What impact would better data quality in your CRM have on sales and marketing alignment?”. Other ways to expand can be using lead-ins like “What effect does….” or “What happened last time CRM data caused issues with Sales and Marketing alignment?”

Asking Impact questions are the most challenging part of question-based selling. It is common for us to accidentally drop engagement by asking a situational question when we don’t know exactly where to go next, instead of asking the customer to expand. As the conversation progresses the engagement should increase. Compare this to a bad example below:

**BAD EXAMPLE** Moving back to situational questions instead of expanding on the pain.

If we draw this out you notice how we got to the pain but never figured out what the value to the client was. The value = impact on their business. Remember, the impact is what you are really selling - customer’s care about solving their problems - not just buying new solutions.

*Figure 4.7 Asking a Situational Question Can Drop Engagement At the Wrong Point in Conversation*

## CHAPTER 4 REFLECTION and NOTES

Use a real customer call you have had in the last 2 weeks using Situational, Pain and Value questions.

| CALL SUMMARY | YOUR NOTES |
|---|---|
| What is their situation? | S1 :<br><br>S2 : |
| What were 2  of their biggest Pain points? | P1 :<br><br>P2 : |
| Summarize this information in 2 sentences for your handoff | |
| What customer use-case could you leverage that best matches their job title, desired outcome or similar industry? | 3rd Party Reference / Use-Case |
| Identify the impact | I : |

# Part 3 Moment that Matters: Prescribe

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## Chapter 5 Driving Impact and Urgency with Critical Events

## Chapter 6: Prescribe through Storytelling

## CHAPTER 5

# Driving Impact & Urgency with Critical Events

### 5.0 IMPACT

To explain the changes B2B selling has gone through over the years, you need to understand some of the fundamentals of pricing, in particular, recurring pricing and the impact of the land and expand model. To help understand this, we developed what we call "the SaaS-o-Meter," (figure 2.1). In the SaaS-o-Meter, we show how businesses operate along an arc between two extremes.

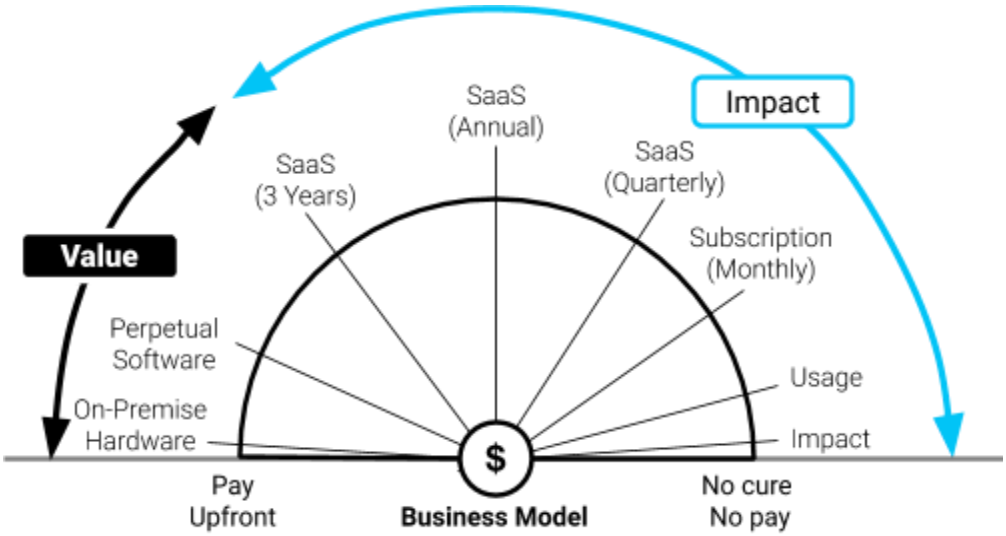



*Figure 2.1 Using the SaaS-O-Meter to visualize pricing models*

On the far left, the buyer pays upfront as would be the case with internet routers, servers and perpetual software licenses. Since it takes a long time to install the equipment and software, the seller sells based on the value the solution ***can*** offer once operational. On the far right, we live in a "no cure-no pay" world where clients only pay for results or ***impact*** the solution offers, such as in online advertising.

In the middle sits a representative, Software as a Service business, with a one-year contract paid upfront. To the left of the middle is the three-year SaaS contract which is commonly found in government contracts and security products. Further to the right, we see pure monthly and subscription-based products that evolve into various forms of usage-based pricing. Businesses can move from left to right as well as from right to left on the SaaS-o-Meter. Doing so changes not only how they price, but how they have to sell!

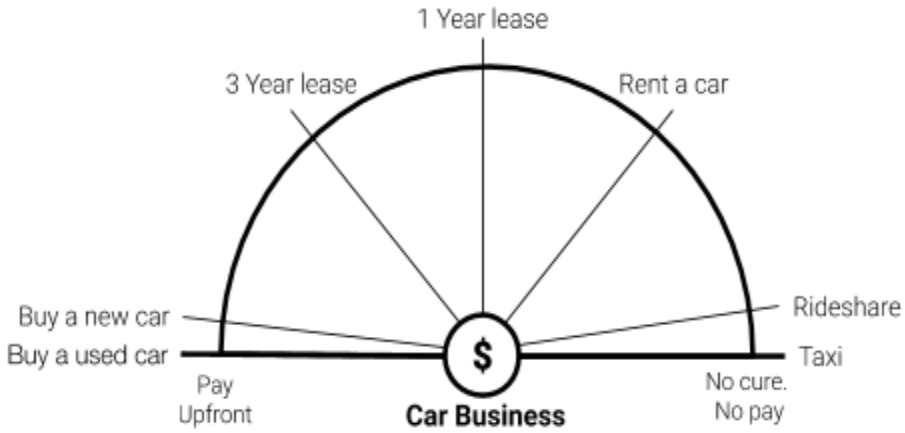



*Figure 2.2 Transportation business pricing example*

Let's see how the SaaS-o-Meter works for something like transportation. In the model on the left side of the SaaS-o-Meter, you would buy a car and pay upfront for the promise it holds of getting you to work every day.

That upfront payment would not take into account fuel, insurance, parking and other ancillary costs. Leasing a car is the equivalent of a one- to three-year SaaS contract with monthly payments in which you still have to pay for the fuel and insurance, but instead of the upfront payment, you opt for monthly payments. Going further to the right, you find daily car ride services, such as ZipCar, and all the way to the right you find rideshare and taxi services in which you only pay for the actual impact - getting you to work.

## 5.1 A Seismic Shift from Value to Impact

Few of the sales methodologies have accounted for the seismic shift in power between the buyer and the seller, a result of the shift towards recurring revenue and the land and expand business model. It is no longer the case that buyers have to spend a million dollars upfront to buy a perpetual software license for a product which *may or may not work* as advertised. "Usage" has had the effect of converting most software related CAPEX into OPEX. Hence, buyers have much less invested and therefore perceive their risk differently.

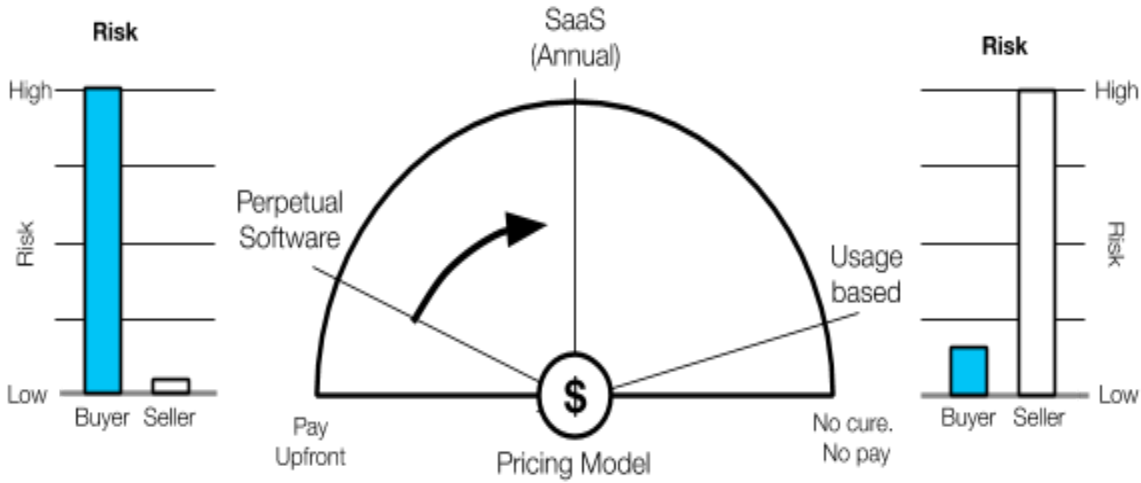



*Figure 2.3 Transaction risk has shifted from the buyer to the seller*

On one hand, it is much easier for customers to sign up for a solution because there is less on the line. On the other hand, it is just as easy for them to quit. In the recurring model, customers take little risk upfront when they pay as they go. Unless you deliver business impact again and again, customers churn.

## 5.2 Impact is the one Constant

Today we are focused on creating an immediate and positive impact on a customer's business. However, a customer does not experience lack of impact; instead they experience a problem or pain as a symptom.

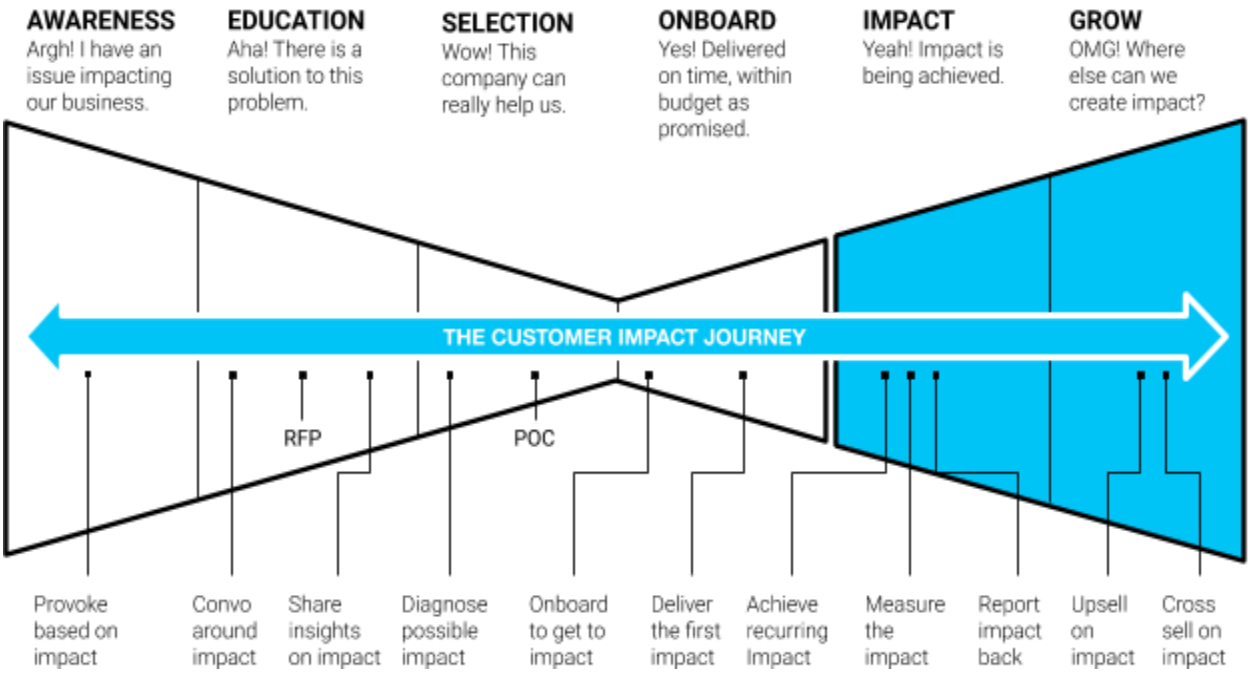



*Figure 2.4 The customer impact journey*

## 5.3 Emotional versus Rational Impact

There are two ways that impact is perceived: 1. Rational, which is measurable using facts and figures, and 2. Emotional, which is about feelings and experiences.

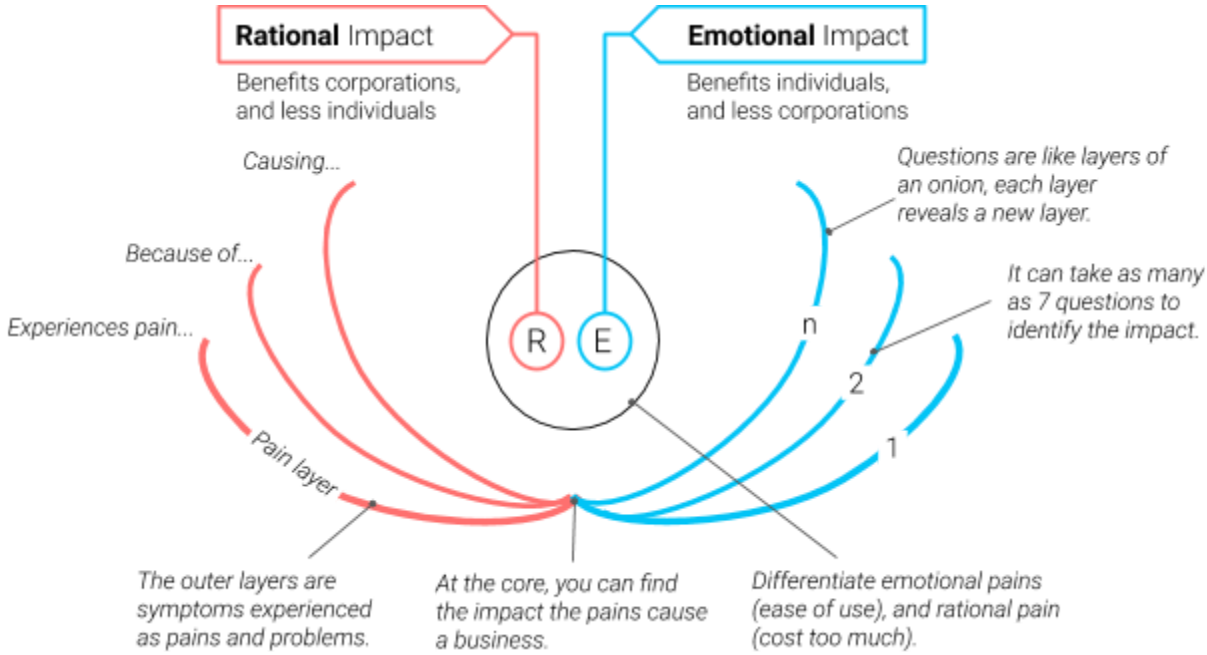



*Figure 2.5 To identify the impact, you have to peel through a series of layers*

For example, when a customer says, "The reports are giving me a headache," is an emotional impact, whereas "I need to decrease the DOS attacks by 12%," is a rational impact. The most common ways of communicating rational impact are presenting the Return on Investment (RoI) and Total Cost of Ownership (TCO). In many ways, the Proof of Concept (PoC) provides an emotional impact in that "it will work as advertised."

Research shows that people tend to make an emotional decision then validate that decision with facts and figures. In figure 2.5, you will notice that to understand the impact our solution has on a client, you will have to go through layers, like an onion.

Unfortunately, the true rational and emotional impact often lies layers deep in which many cases require a series of questions to uncover. To peel back each of these layers, you need to master the art of asking questions (see Chapter 5, Diagnose).

## 5.4 Different Kinds of Impact

There are different ways how your proposition impacts your client's business. You need to know which type of impact is most important to your customer.

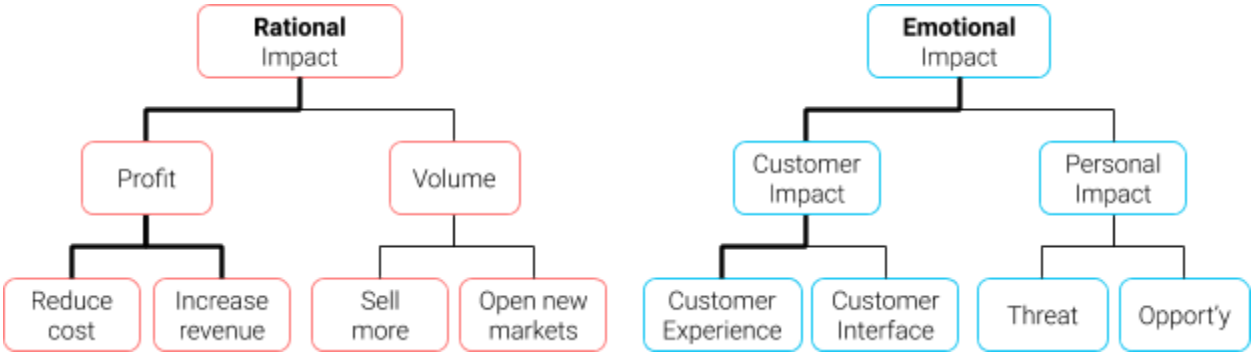



*Figure 2.6 Different impact*

The most common impacts are:

- **Increase Revenue** The need to grow often outshines cost reduction because most companies are so heavily focused on growth and increasing the value of the business. So it is no surprise that products which increase revenue enjoy shorter sales cycles and can be sold at a higher price.

- **Lower Cost** A solution that increases revenue hinges on an effective driven model. Compare this to a solution that reduces cost, which hinges on an efficiency driven value proposition. Buying a solution that reduces cost is the easier choice to make for a decision maker; however, these solutions are often price competitive, making the business dependent on the volume of deals. (think of companies selling storage).

- **Improve Customer Experience** Improving the customer experience and/or interaction results in productivity improvement, and it often looks and feels like cost reduction solutions. Examples include easier to understand dashboards and operation, improved collaboration, reduced risk, better candidate searches, etc. Collaboration products, productivity tools, business intelligence software, human resources information systems, security products: all of these fit into this category.

Each of these approaches can lead to a healthy business. Under the type of value proposition your company offers, you have to unpeel the onion four to seven layers deep, and well beyond the "pain." On the impact, you must make it relevant to your customer.

> **Case in point:** *Assuming that 80% of your revenue comes from your top five products, I averaged the price across the top five products on your website to be $50. Assuming you lose 1,000 deals per day, this would cost you $50,000 per day, or a total of $1,500,000 per month.*

Customers will buy from you when it impacts themselves or their business.

## 5.5 Who Really Benefits from the Impact

Although emotional Impact helps the end customer have a better experience, it often looks and feels like a cost reduction solution. Examples include easier-to-understand dashboards, fewer clicks, finding better candidates quicker, and so on.

There are two key differentiators between emotional and rational impact:

- Emotional impact first benefits a person, whereas rational impact first benefits a corporation
- Emotional impact such as ease-of-use follows the laws of habit formation meaning it is harder to change the longer a customer uses it

Thus, don't just rely on improving Return on Investment (RoI). Try to find other types of impact your customer cares about. There are different ways your value proposition has an impact on your client's business. You need to know *which* type of impact is most important to your customer.

## 5.6 CRITICAL EVENT

A critical event is an event that is so important that it drives the decision. Just providing impact is not good enough. Impact is a function of time. In figure 3.1 below, you will notice that over time, a priority increases from nice-to-have to want-to-have, and at one point, even reaches need-to-have.

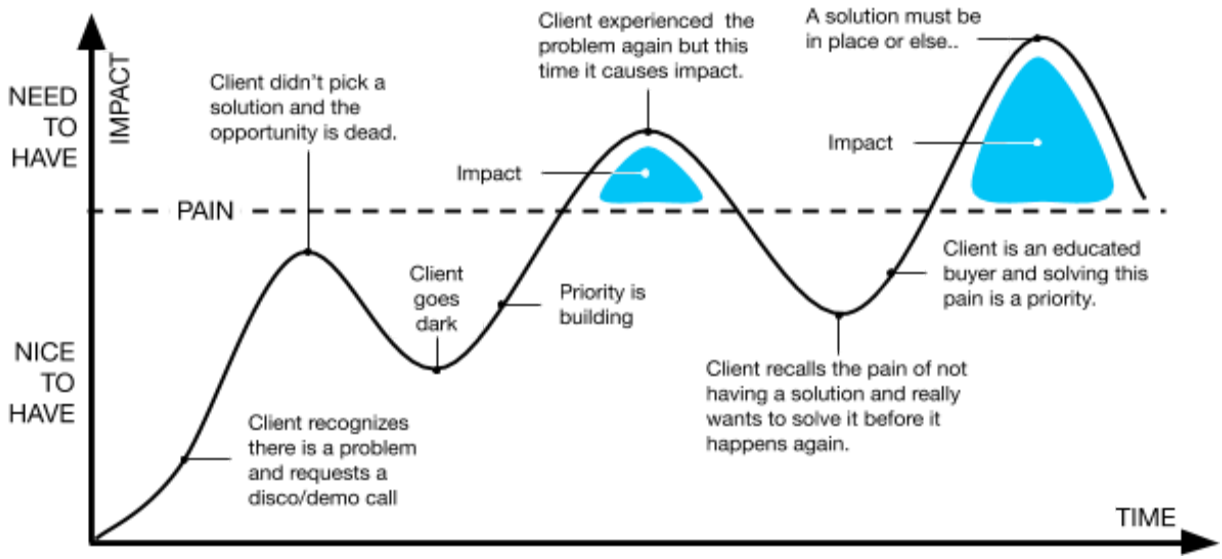



*Figure 3.1 Critical event is the highest priority, which in turn is a function of impact over time*

Sales organizations must excel at determining where clients and customers are on this horizon. As the priority drops, a customer may go dark leading you to believe that the "budget is spent," not realizing that the conditions may soon change in your favor.

## 5.7 How to Uncover a Critical Event

To uncover a critical event, you need to train your team that whenever a client mentions a date, they should ask the question, "May I ask what happens if you miss that date?" This question will point back to the impact, and implies that impact and critical events go together. A common misconception in SaaS relates to when a customer says, "We have no budget." A SaaS prospect hardly ever has a budget issue, but rather a time issue. Your service is simply not a priority at this time.

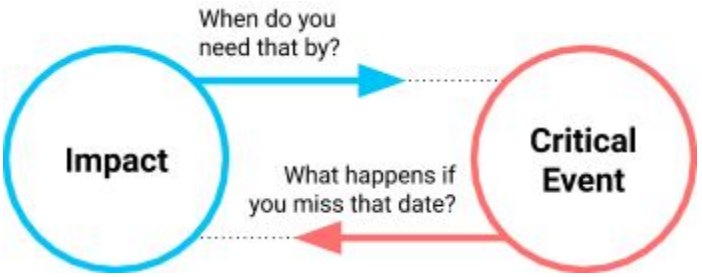



*Figure 3.2 The direct relationship between impact and critical event*

Solving a priority issue is very different from solving a non-priority issue as the impact of your service fluctuates over time. If your solution does not provide a meaningful impact, it will never become a priority.

> **Case in point:** *Take for example selling an Applicant Tracking System. If your customer hires three to four people a year, it many not provide enough impact to be a priority. However, when the recruiting corporation receives funding and suddenly needs to hire 20 people in 30 days, with 10 every month thereafter, there is a need for the applicant tracking system. The opening of the job requisitions is then what we refer to as a critical event date, a date so important that it literally drives the timeline of the decision. You cannot create a customer's critical event, you can only discover it.*

## 5.8 Critical Event Timeline

A critical event is like the end result of a delicious recipe when cooking a meal. In order to achieve your desired outcome, the recipe tells you what to do and in what order. Following the identification of a critical event, you must uncover all the steps that need to happen.

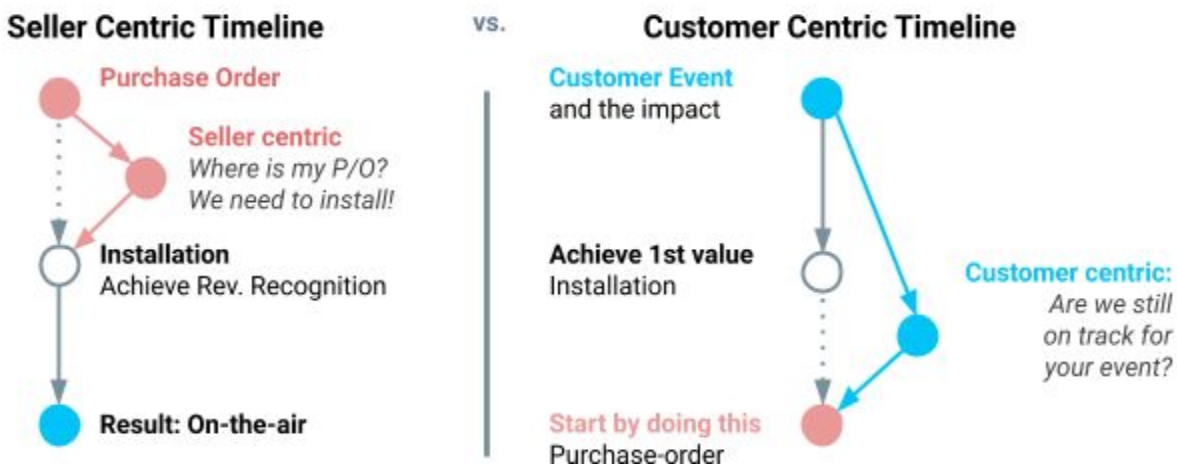



*Figure 3.3 Visualization of a critical event timeline*

Instead of determining when you need the P/O from the customer, you need to start with the customer's needs in mind. When does the customer need the desired impact and then work your way back. For example, if the customer has a sales kick-off on July 7, they need your new sales acceleration solution for their team in place by end of June.

## 5.9 Communicating the Critical Event

A critical event message is a short, stand-alone email that solely talks about the critical event. This cannot be part of a two-page email with all kinds of actions. See this example.

*Subject: SKO July 15 / PO May 29*

*Dear Mary,*

*Thank you for taking the time today to talk with me. To have us hit your July 15 _____, we need to get the proposal memorialized and in order by May 29th. Based on your purchasing process, I put the following timeline together to hit that date:*

*July 15 - Your ____ event*

*July 2 - Integration and staff training*

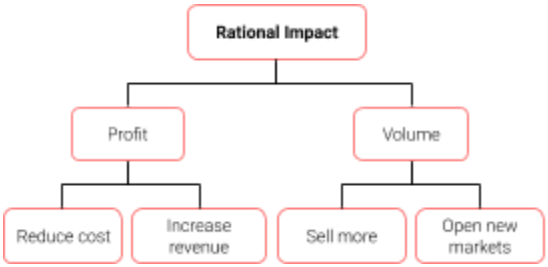
*June 1 - Installation, testing start date*

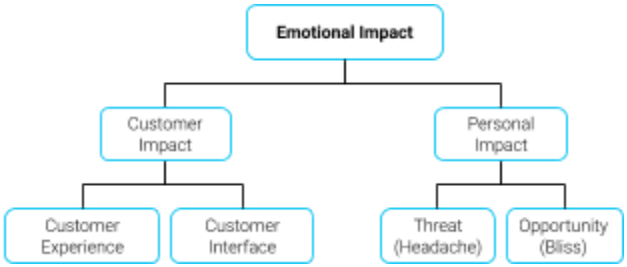
*May 29 - Process Purchase Order to hit monthly cycle*

*Did I capture this correctly?*

*Mark*

CHAPTER 5 NOTES and REFLECTION




List some positive and negative examples of impacts you have heard from customers

**RATIONAL IMPACTS**

_____

_____

_____

_____

**EMOTIONAL IMPACTS**

_____

_____

_____

_____

| | |
|---|---|
| In your own words<br><br>Impact Definition:<br><br><br><br><br><br>Critical Event Definition: | What are 2 questions to ask when a customer mentions a date that could be compelling vs. critical?<br><br><br><br><br><br>What are 3 examples of impact achieved by customer's using your service for at least 3 months?<br><br><br><br>What are 3 questions you can ask to evoke those potential desired impacts from potential customers? |

| |
|---|
| Write an example of an actual customer's critical event and impact based on a case study or customer you worked with: |

## CHAPTER 6

# STORYTELLING

The most powerful way to influence someone is through storytelling. Sharing how you helped someone with similar challenges is more persuasive and a story helps plant an idea that can change their mind and open them up to new possibilities. When you just tell someone what to do, or say, *"trust me,"* the opposite reaction usually occurs.

### 6.0 The Science of Storytelling

The brain actively participates when hearing a story in three different ways:

1. Neural Coupling: A story activates parts of your brain that allow the listener to convert the story into their own ideas and experience.
2. Syncing: Listeners will have similar brain activity to others hearing the story and the storyteller
3. Cortex activity: When processing facts and emotions, different areas of the brain are activated like the sensory, frontal and motor cortex.

### 6.1 Three parts to a Simplified Hero's Journey

Every great story follows a well-defined framework. We don't need a complex movie plotline (Pixar famously has 12 Acts), but there does need to be a beginning, a middle and an end.

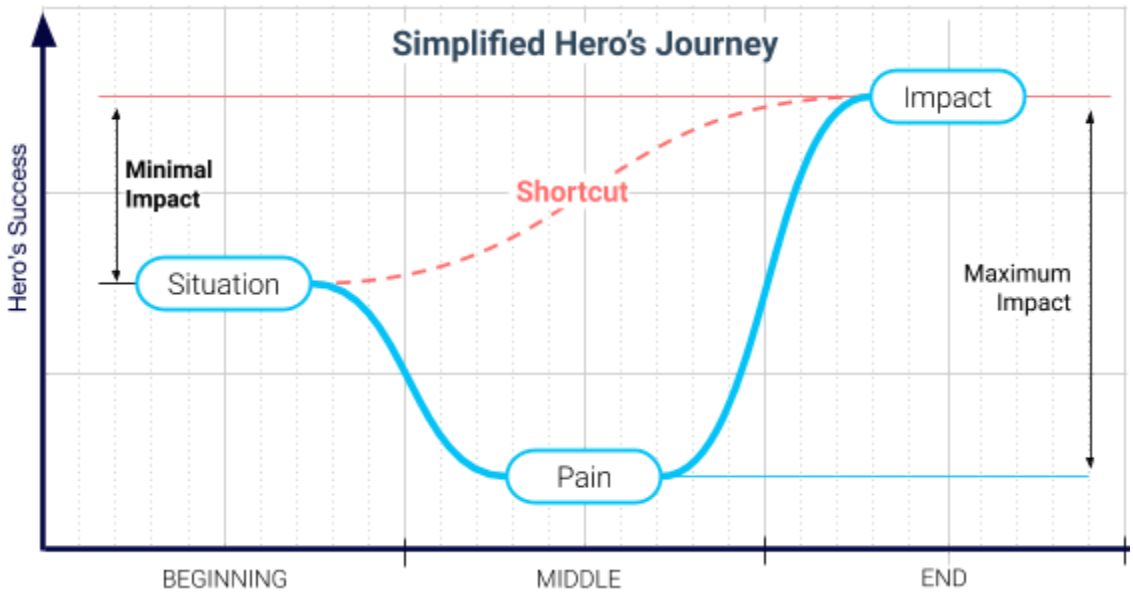



*Figure 6.1 The hero's journey simplified*

In sales, simpler is better. Aim to have one to two sentences max for each part.

### Part 1. Situation - Make it Personal

The purpose of the opening is to set context to help your customers connect to the main character of your story. Make it relatable. When sharing customer's stories to a prospect, don't just say your customer's company name, e.g. Microsoft.

Describe a similar person at their company to the person you're talking to by name, title, and other relevant details. This could be an industry (retail, security), size (500, 5,000 and 50,000 employee companies have significantly different challenges), or location (global vs. one-office HQ).

| *Too impersonal* | ***Right mix of personal and relevance*** |
| --- | --- |
| *That reminds me of one of our customers, MIcrosoft, had a similar problem...* | *That reminds me of Jill, who like you, is the VP of Product at a public company based in Washington.* |

### Part 2. Pain - Describe the Negative Impact of Not Solving

Take your customer down the roller-coaster before describing the positive outcome. The lows make the highs higher - and ultimately, the story more memorable. Explain the challenges they had, and describe the negative impact associated. Too often, we don't build enough drama between the pain and the solution because we don't want anyone to feel bad.

This shortcut makes for a mediocre story. Instead, paint a picture of the business challenges they faced, and the negative impact that would ensue if they didn't solve those challenges.

| *Shortcut - Too little pain* | ***Describe the negative impact*** |
| --- | --- |
| *"They struggled with knowing which products to focus on for their customers, so they…"* | *"She had no visibility into the data of what features customers were requesting. This led her team to build the wrong product and waste three months of time."* |

### Part 3. End - The Solution and Positive Impact

Your customer is the "hero" in the story you're describing, not your own company. Your ending needs to leave an impression that your company assisted the customer like Yoda to Luke Skywalker, or Dumbledore to Harry Potter. Describe how your customer thrived after solving the problem.

When you say “After using my company, Acme…,” your story feels like a sales pitch. Instead, make it about the *type* of solution you provided to build intrigue and neural coupling to their own experience.

| *Avoid Pitching* | ***Your customer is the hero*** |
|---|---|
| *After using my company, Acme, they were able to make a lot more money.* | *After integrating a digital feedback system into their workflow, Jill’s team was able to prioritize the most important feature to create and resulted in driving revenue up 30%. Would that be relevant to you?* |

When done correctly, your prospect will ask you, “That’s exactly what I’m looking for! How did Jill achieve that?” to which the answer is, of course, your solution.

Imagine a stranger walking up to you and explaining that they can help you with your business because they are *trustworthy* and an *expert*. Of course, any time someone tells you to “trust them” - the exact opposite comes to mind.

## 6.2 Sharing a customer story

Using case-studies as a third party reference drastically helps your storytelling. In the example below, you notice the hard pitch and followed by the rejection. This can put a quick stop to a conversation. Do this two or three times and you’ll see that your pitch is rendered pretty much useless.

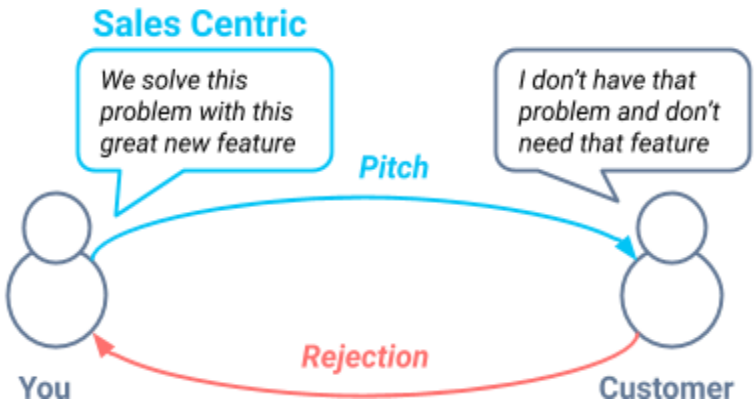



*Figure 8.3. Direct pitching a customer causes issues*

Using a third party reference by storytelling can make all the difference:

- Does not fatigue as fast (e.g., you can run multiple examples)
- Provides value with your statement (e.g., how others do this)
- Makes you appear as an expert (e.g., you know people, understand their situation)

When you use a third party reference, you address: who experienced the problem (a person, not just the company name), what problem they experienced (in context), and what impact they received.

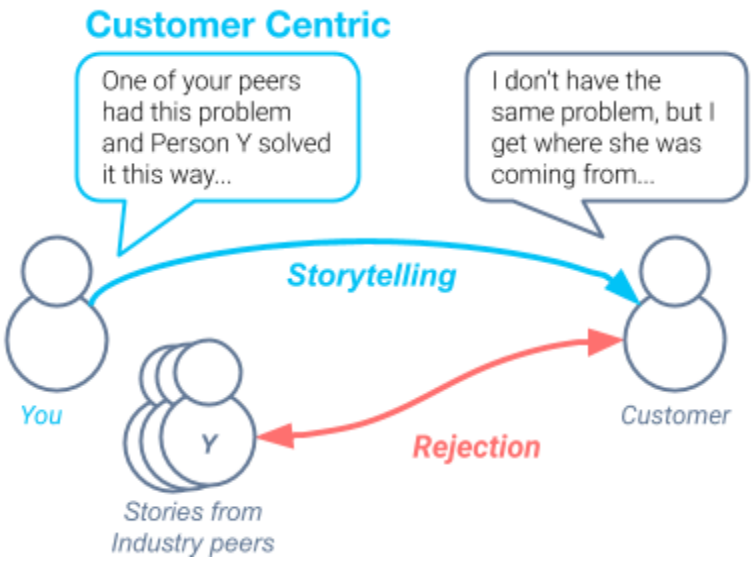
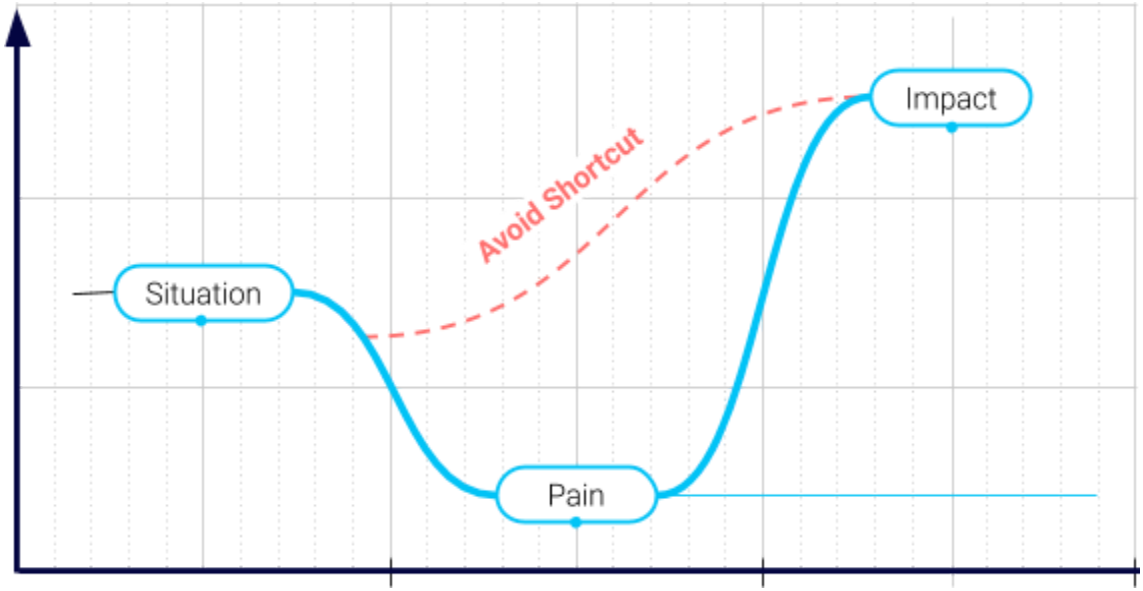



*Figure 8. 4 Customer centric storytelling by using a third party reference*

**Case in point:** *Mark was a new VP of Sales, and recently hired a team of new SDRs to his team of twenty. He wanted them to be the world's best SDRs. But Mark's problem was that his team was new and rather untrained. To make matters worse, they were distributed all across the country. Customers started complaining about unprofessional messages and behavior. Mark implemented a sales academy program that offered online training with recurring weekly drill programs and detailed playbooks which used a train-the-trainer model. After implementing this training program, Mark measured improvements across the board: The number of SQLs went up 30%, but what he had not anticipated was that they started to close faster. His team and customers were happier and more successful, and Mark was promoted six months after the launch. Would that type of program benefit your team as well?*

CHAPTER 6 REFLECTION and NOTES




**Write down a simplified hero's journey of one of your customers:**

| **Situation** | **Pain** | **Impact** |
|---|---|---|
| | | |

# PART 4. Moments that Matter: Commit

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## Chapter 7: How to Demo

## Chapter 8: Trade vs. Negotiate

## CHAPTER 7

# How to Demo

As sales as it relates to medicine - prescription before diagnosis is malpractice. In the moment of education, the customer already realizes they have a problem. In fact, the earlier conversation they had may have helped crystallize that fact. In the medical analogy, they are complaining of symptoms. At this point, it is the job of the salesperson to further dial in on the root cause by performing a diagnosis. A diagnosis can be performed in a discovery call, and/or a demonstration. It can be done in one meeting or across multiple meetings.

### 7.1 Diagnose by Discovery

The more a salesperson can do to understand the customer's pain and the potential business impact, the better able they will be to actually recommend a solution based on the company's products that can have an impact on the customer's problem.

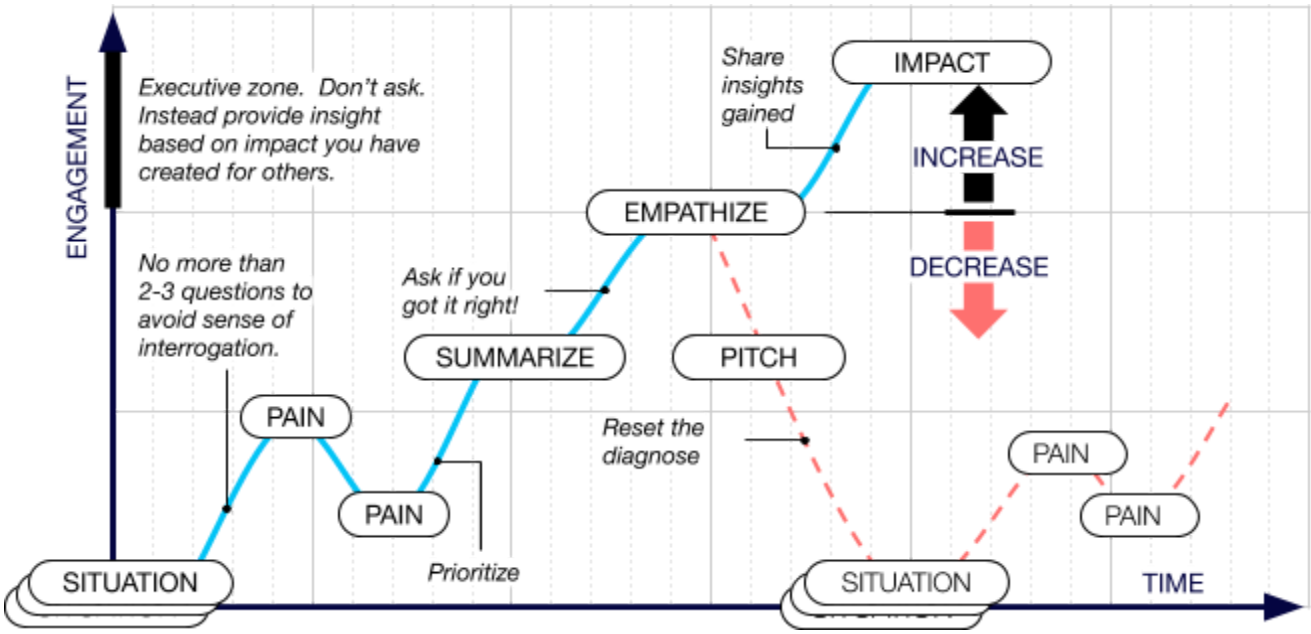



*Figure 7.1 How to perform a discovery call*

For diagnosing, we use a question-based framework used by all kinds of professionals to understand their clients quickly - from emergency responders to your favorite car mechanic.

**Step 1.** First, ask two or three questions to learn the context of the situation;

**Step 2.** Then ask a few questions to understand the pain;[1]

**Step 3.** Summarize: "So you have [this situation] causing you [this pain]?"

**Step 4.** Empathize: "I hear this a lot," or "You are not alone in this."

**Step 5.** Establish the impact/critical event.

[1] Two books that capture question based sales techniques are "Secrets of Question Based Selling" by Thomas Freese and the wildly popular "SPIN Selling" by Neil Rackham from the Huthwaite Institute. We encourage all your customer facing teams to master question based techniques.

## 7.2 Prescribe by Demonstration

In a high velocity sale, you might find a client who really wants a quick demo. This does not mean you can make it a pitch-fest. It does mean that you need to integrate your diagnosis into the demonstration to ensure your demo is relevant for the client. Give yourself an opportunity to obtain valuable information such as the impact your product can have on the client's business.

It is not uncommon for a demonstration to turn into a monologue that lasts anywhere from 10 to 40 minutes. And it cannot be a surprise that customers lose interest when there is too much unrelatable information. At the same time, you are missing a golden opportunity to learn about their challenges and the impact your service could have on their business. The next figure visualizes the engagement during the demonstration.

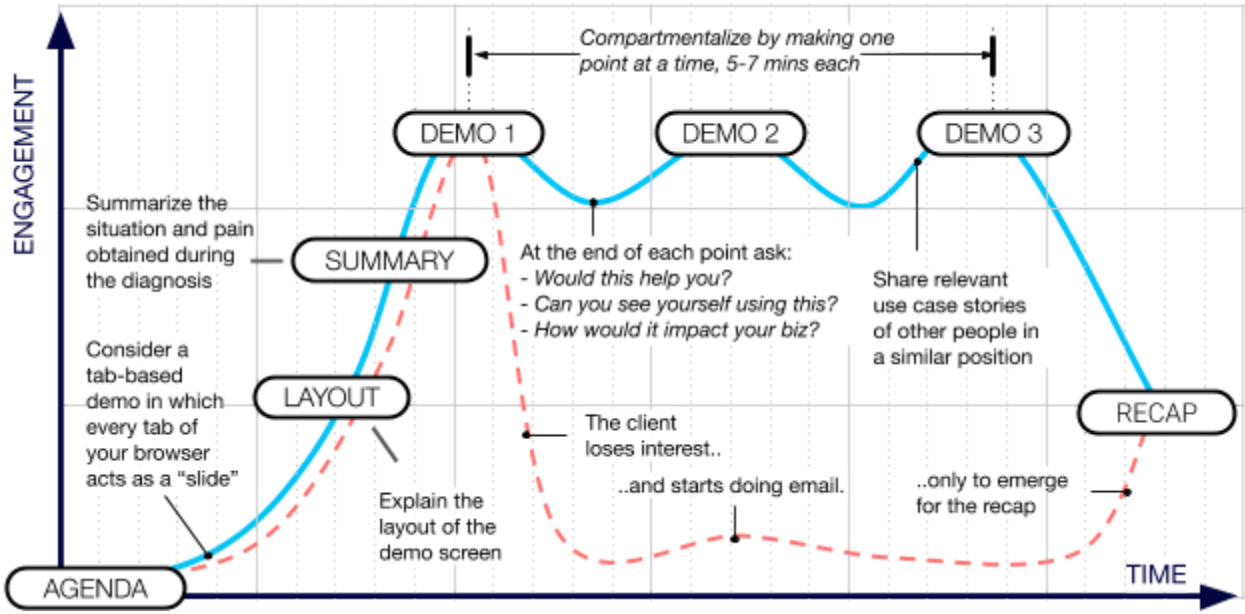



*Figure 7.2 How to prescribe through a demonstration: avoid the Engagement Gap*

**Step 1.** Write an agenda of the points you are going to demo and keep it to three points on a 30-minute call, and five points on a 60-minute call;

**Step 2.** For each demo point, summarize your previous diagnosis and point out why you are showing a particular page, dashboard or feature of your product;

**Step 3.** Orient the client with the layout of your product on the screen;

**Step 4.** Then demonstrate:

- In the customer's context, how your product solves their problem;
- "Hand over" controls by asking if there is anything they would like to see;
- Identify impact for each point by asking the following three questions:

  *"Would this address the issue you described earlier?"*

  *"Can you see yourself using this product?"*

  *"How would this impact your business?"*

**Step 5.** At the end of each, summarize the key findings, and move to the next point;

**Step 6.** Following the demonstration, recap the findings across all three points using the customer vernacular.

### 7.3: Show your solution in your customer's context

Show how you solve their pain one point at a time and share relevant use case stories of other people in the same position.  Ensure to create a two way dialogue and ask questions for each pain point as it will help to dive deeper into the impact of your solution.

1. Do you see how what I showed you solves the {pain}?
2. What impact would that have on your business?
3. Can you see yourself (or your team) using this?

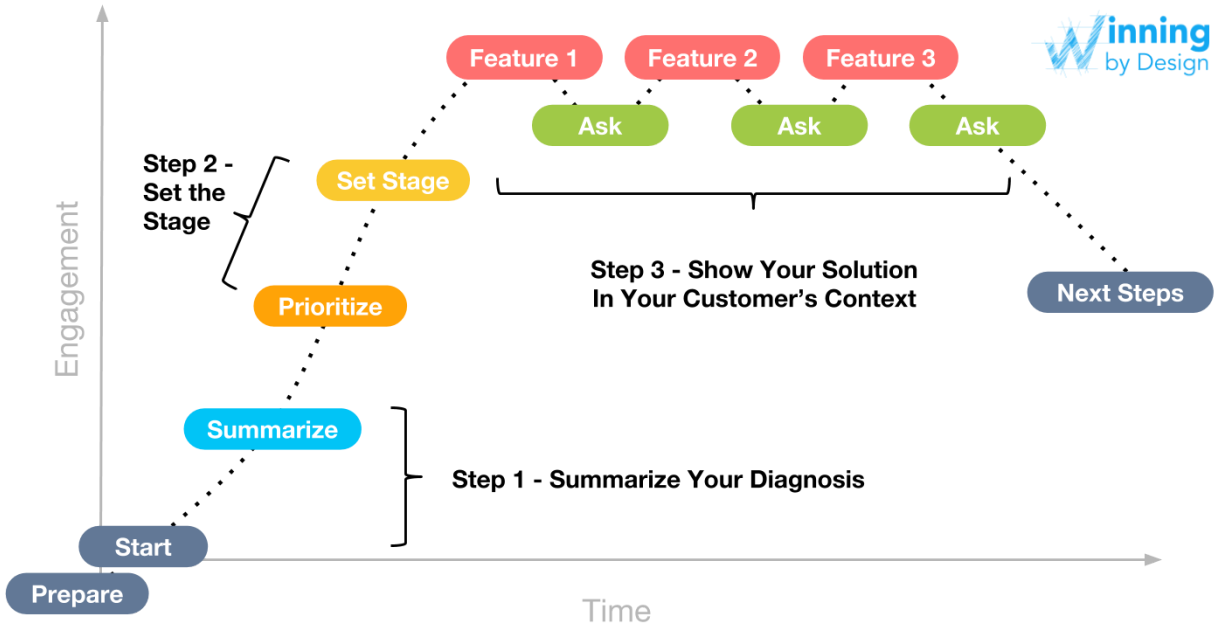
### 7.4 From Demo to next steps

The demo is a tool to progress the conversation and go deeper into your diagnosis. The outcome of a demo when executed well should result in the desire of the customer to receive a proposal. Be sure to summarize the key takeaways from each demo point and to set the next steps in the proposal phase.

- Did we address all the questions you had?
- At the beginning of the call we set the objective as….  Did we achieve this goal?
- May I ask are you ready to move forward with…
- What you like to achieve …
- Is there anyone on your side that can benefit...

As you reflect on how to continue to refine your demo, your customer's won't remember all the specifics of your solution. But they will remember how you made them feel - so if you want to be memorable, focus on how you can solve their problem, and showed them how in their context

**Structuring Your Demo**




**Summarize your diagnosis and prioritize their pain**

Instead of showing the 50 slides of your sales deck starting with your company history and the logo-salad of all your best customers, focus only on the 3 most relevant parts of your solution that will help provide the biggest impact to the prospect. What are those 3?

## CHAPTER 8

# TRADE

The single change in wording and emphasis, from negotiate to trade, has one of the greatest effects on cumulative sales in all our work. Here is how it goes: When we as salespeople negotiate, we tend to think in terms of numbers and percentages moving up and down. We often discount quickly and in large increments. As a result, we give away discounts far more than we should, and for little in return. The issue with negotiation is it is rooted in compromise. If you give a discount - the customer will always think they could have gotten more, where you may feel you have given away too much. This is a lose-lose situation - and the wrong way to start off a partnership.

A company with an innovative SaaS product with an annual contract value (ACV) of $50,000 should increase its price annually by at least 8% given its rapid product development. By giving a 20% discount during negotiation, an inexperienced negotiator may view this as “only $10,000” however this adds up over three years to be nearly one year of revenue. And for what? Most deals that reach the negotiation stage seldom turn on price. Instead, we encourage organizations to think of negotiation as trading, and of discounts as price adjustments and make these price adjustments small.

### 8.1 Propose a solution

Customers always want the best price and discounts are often a way to show commitment to helping your customers. But we do not want you to give discounts… for nothing. This requires you to embrace a new way of discussing pricing and instead consider it trading.

**Establish price**

STEP 1 Open a screen share or share a document so both parties are seeing the same thing

STEP 2 Create a spreadsheet to build the proposal

STEP 3 Enter the details of the deal: calculate the discount over the length of the contract

STEP 4 Do not discount any of the prices, instead make a price adjustment and note conditions

STEP 5 Share it with the customer - let them comment and see variables

STEP 6 If they change the number - say *"That's OK, but that changes the deal"*

| Packages | Monthly Pricing | Annual Pricing | Proposed |
|---|---|---|---|
| INSTALLATION FEE | $5,500 | $5,500 | $5,500 |
| USER FEE | | | |
| SMALL PACKAGE | $500 | $5,500 | |
| MEDIUM PACKAGE | $695 | $7,500 | $7,500 |
| LARGE PACKAGE | $899 | $9,500 | |
| | | | |
| CONTRACT TERM | 12 months | 12 months | |
| PAYMENT TERMS | Upfront per month | Upfront per year | |
| | | Sub-total | $13,000 |
| | | Adjustment* | $3,000 |
| | | Total | $10,000 |

*Price Adjustment In return for contract completed by June 24, Provide a video case study, logo on our website.

*Table 8.1 Proposal Pricing Example*

**Create a trade-off**

During the preparation, you determine through research and discussion the different variables of the deal. In this example, there are three variables; Price (ACV), Contract Term, and Onboarding Fee (installation payment). Based on these variables, you create three deals, as visualized in this chart:

- Deal 1: 12-month contract with an ACV of $7,200, paid upfront quarterly
- Deal 2: 24-month contract with an ACV of $6,500, paid upfront every 6 months
- Deal 3: 36-month contract with an ACV of $5,800, paid upfront annually

The visualization of this information allows you help the customer understand the options, and therefore more easily negotiate. And as discounts alter, so does the deal.

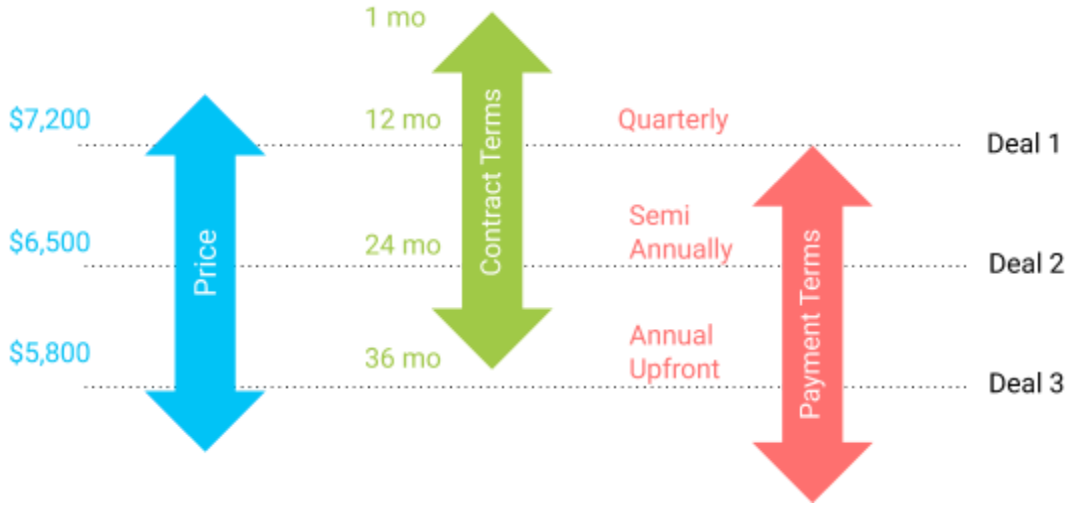



*Figure 8.1 Tradeoff visualization with three variables*

Other variables to consider differ across businesses, but think of: Payment Terms (Net 30 days, N45, N60), onboarding cost, training, templates, storage space, number of seats, usage limits, and so on.

## 8.2 Presenting the trade-off

There are many ways of presenting the trade-off to a customer. We discuss the following

| Minimum Contents | Quote | Proposal | Impact Proposal |
|---|---|---|---|
| Price | Yes | Yes | Yes |
| Terms | Yes | Yes | Yes |
| Expiration | Yes | Yes | Yes |
| Needs outlined | | Yes | Yes |
| Competitor Overview | | Sometimes | Yes |
| Critical Event Timeline | | Yes | Yes |
| Impact on the company | | Yes | Yes |
| Impact per role/department | | Sometimes | Yes |
| Next steps | | Yes | Yes |
| Annex with meeting notes | | Yes | Yes |
| RoI Calculation | | | Yes |

*Table 8.2 Three tiers of proposals with different complexity*

In the case of a proposal you open a google shared doc and start capturing each point they are bringing up. To give an idea (Minimal requirements):

- Quote: ACV ~ $5,000 deal can have about 1-2 pages describing what, when and who is going to do what. Followed by a 1 page quote. We strongly recommend that you included a "competitor" comparison. In case your customer is likely to take no action we would also recommend including "no action"

- Proposal: ACV ~ $12,000 deal has become a 5-20 page proposal, clearly outlining the full program, including lots of examples (screenshots) of how you are looking to address their needs.

**EXAMPLE** OUTLINE

- Executive summary
  - Problem you are solving and how
  - Basic outline of the offer
  - Competitor matrix
  - Next steps
- Solution to your problem - Overview of your solution, often pictorial
- Your product requirements - specific needs described and how you address them
- Your service requirements - 24/7?
- Your timeline - reverse chronological order timeline that starts with customer deliverable
- Pricing - price, expiration date, terms, reference number etc.
- Why us? Ten reasons why you should partner with ___
- Next steps. Outline of the 3-4 next steps that need to be taken

Annex: Meeting minutes, diagrams, slides, case studies etc.

- Value Proposal (Start) ACV = $24,000+ deal has become a 20 page proposal, outlining how you are looking to address their needs of the company. This is now turning into a value proposal and includes an RoI calculation for the CFO

- Value Proposal (Major) ACV = $60,000+ deal has become a 50 page proposal, outlining how you are looking to address their needs of individual groups within the company. This is now turning into a value proposal and includes an ROI calculation for each department.

## 8.3 Impact Proposal

A solid proposal makes ALL the difference. For smaller deals that may be a professional looking quote and for larger deals it will be a multi-page proposal. The proposal helps outline the work you have done till date and represents the customer's needs/challenges and your plan to help them with it.

What is the difference between a value proposal and an impact proposal.? The picture below shows that an impact proposal also looks at usage to create the impact desired.

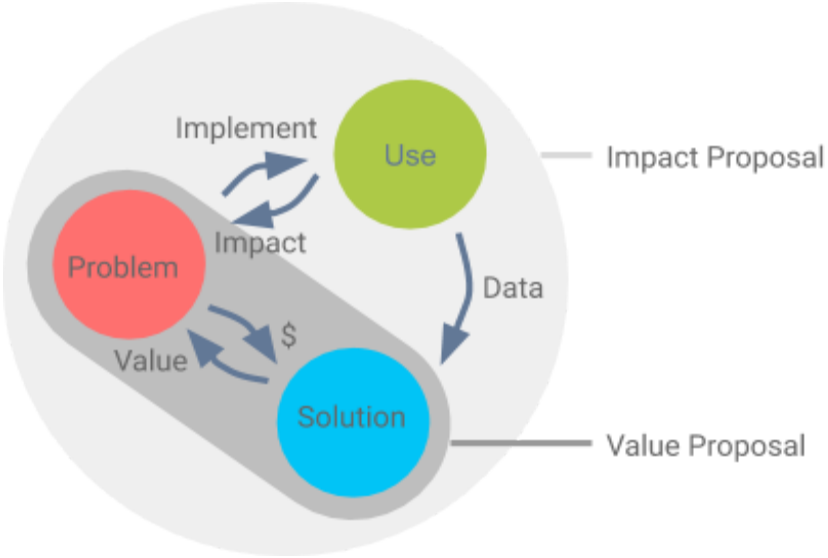



*Figure 8.3 Value Proposal vs. Impact Proposal*

EXAMPLE OF AN IMPACT PROPOSAL

PART 1 Executive Briefing - This includes a professional headshot of yourself, and a brief Why/How/What including a vision of the company. The goal of this briefing is to assist in the development of your proposal.

PART 2 Value Proposition - A simplified value prop that outlines the desired outcome

- The problem your company was approached with
- The key value points discussed
- The goals you are looking to accomplish with the service

PART 3 Customer Pain Points - Specific descriptions of their pain points. Keep it short.

PART 4 Impact on the Business - Demonstrate the negative impact of these pain points on their business. There are three key areas to focus on; 1) Improve growth, 2) reduce costs, 3) improve user experience. The key reason you lose deals is the lack of priority NOT budget NOR competitors.

PART 5 Examples - Provide real practical examples

PART 6 Plan - Describe in bullets what are we going to do to fix this problem

PART 7 Deliverables - An outline of deliverables, where possible provide a visual example. Agree to a series of Key Performance Indicators of success (and also what failure looks like).

PART 8 Who is Involved - A list of people who will be involved, their contact data and the role they play.

PART 9 Timeline - A rough outline of a timeline of activities. No need for a gantt chart.

PART 10 Price - Provide a pricing overview. Spend time on simplifying your offer so it can be understood without having to need a 2 day training course on your service.

PART 11 Terms - Clearly outline what is included but also what is NOT included.

PART 12 Trade-Off - Educate your customer on the Pro's and Con's of your service. Educate them on the variety of decisions. The trade-off should include:

- You vs. Competitors (spend with similar solution)
- You vs. Substitutes (spend with alternative solution solving the same problem)
- Not spend - Cost of doing nothing
- Delay - Cost of delay by day/week/month

PART 13 Next Steps - In a few simple bullets outline the next steps. There are two ways of doing this, chronological starting with the execution of the document, or reverse starting with the key deliverable. Either way please clearly outline the deliverable date.

PART 14 Signature Page - Provide a clear space for document execution. It sets the tone.

## 8.4 Get Something in Return

In trading, both parties give up something of value in order to be better off. By definition, trading is a win-win. What do they trade for? There are any number of things a customer can do or say that will significantly help a business. References, case studies, social media mentions, PR quotes and all kinds of other items can form a menu of trading options at different levels of price adjustment.

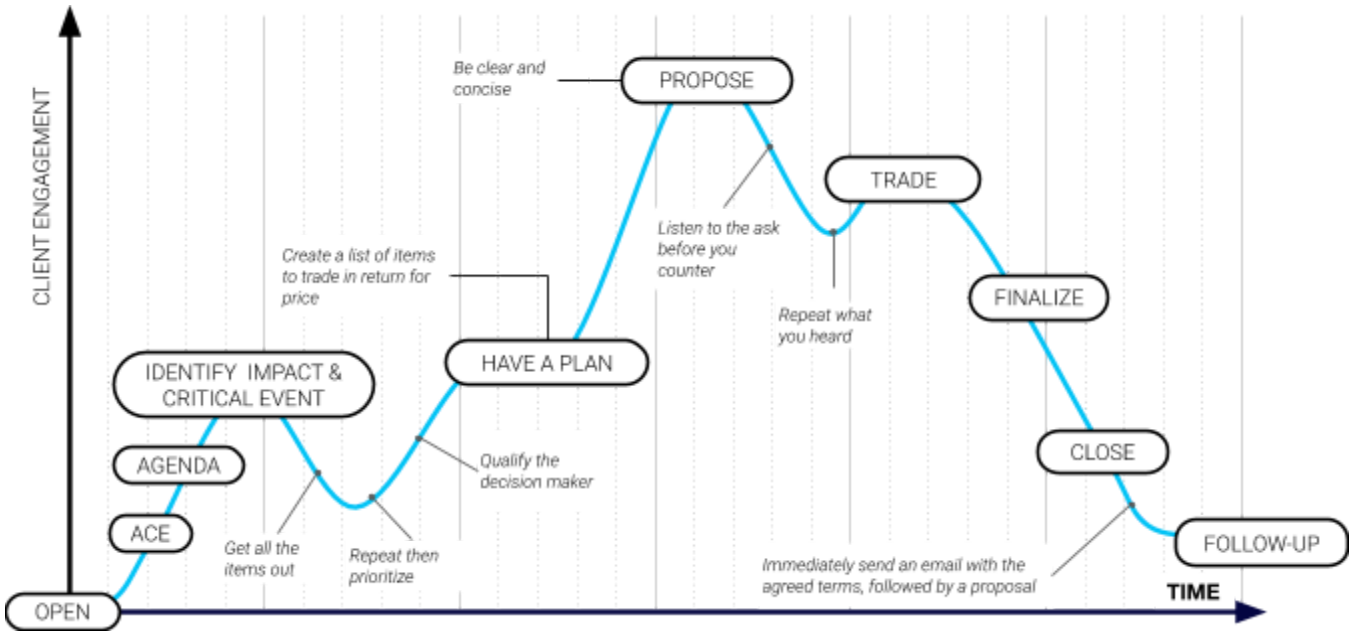



*Figure 8.4 How to trade*

What this also does is put a price on discounts, and everyone knows what happens when we pay attention to the price of something - its value becomes clear. So when a customer isn't willing to do a PR mention and turns down the discount, the average discount rate for the team goes down. This single change has caused the average discount rate offered on the teams we train from above 20% to below 10%. That is money that goes straight to the bottom line.

## 8.5 Checklist on how to Trade

**STEP 1** Get all negotiation items out

Minimize the risk of "switch tracking" or thinking you're on the same page but really discussing something different from each other. The first step to do this is to summarize what you are offering concisely.

**STEP 2** Get all issues out up front

After you summarize your offer, ask about any issues or questions. If they do have a concern, before offering to fix it, ask "is anything else?" Do this until all potential negotiation items are out.

**STEP 3** Prioritize the issues

Word choice is critical at this step. When your customer is asking for clarification or changes, don't imply they will get everything they ask. Instead, use the powerful question "which issue is most important to you?"

**STEP 4** Qualify the decision maker.

Make sure the person you are discussing terms with is the person that will sign off if agreement is met. Avoid the issue of giving the customer the best deal. For example if you are negotiating with the Director level, but the VP will sign - sometimes they will come back asking for something in addition to what was agreed. If this happens, be prepared with the phrase "that changes the deal".

**STEP 5** Make the offer. Be clear and be concise

For every issue you help solve, make sure you trade for something of equal or more value in exchange. Then be clear exactly what you are trading for what they are asking for. This will help at the end if there are additional issues that come up.

### STEP 6 Listen and Repeat their counter-offer

Especially during trade conversations, it is more important to make sure both you and your customer are aligned on what you are asking for so you don't accidentally try to give them something they don't actually want, and then neither party is happy. For example, if they say "you are too expensive" make sure you understand what they mean by that. Is it the full-upfront payment? Or is it the overall contract value? How you solve those two issues will be different. One will require creativity on payment terms (i.e. Net 60 instead of Net 30 in exchange for a longer contract term or case study).

### STEP 7 Ask for their business

After understanding the win-win scenario where both parties will leave feeling excited to move forward, ask them if they are ready to move forward with the contract.

### STEP 8 Add expiration date, and agree to consequences if not met

Without consequences, expiration dates are meaningless. Most customers who don't sign by our deadline (especially painful if we miss our monthly/quarterly quota) they expect the same discount in the future. To avoid this, clarify the expiration date and consequence that the original deal will be offered if they are not able to get commitment by the agreed upon date. The key question is "Does that sound fair?" It is an innate human desire to be treated fairly, and a strong motivation to not be called hypocritical. Make sure the customer verbally agrees.

### STEP 9 Confirm w/ email and contract

Ideally within 30 minutes, send out an email summarizing your conversation and trades that you agreed to. Put the trades explicitly in the contract. When the contract is up for renewal, it will be clear what led to any price adjustments which helps have a transparent conversation around renewal pricing, upsell or expansion opportunities.

*CHAPTER 8 NOTES and REFLECTION*

| | |
|---|---|
| What are the 5 things that you could trade, in exchange for a price adjustment for your customer? Rank them in easiest to most valuable. | _____<br>_____<br>_____<br>_____<br>_____<br>_____ |
| Reflect: What are 3 power phrases you will say during the trade conversation? | _____<br>_____<br>_____<br>_____<br>_____ |

Notes

## ABBREVIATIONS

**ACV** Annual Contract Value

**AE** Account Executive

**AM** Account Manager

**AR** Annual Revenue

**B2B** Business to Business

**B2C** Business to Consumer

**BDR** Business Development Representative

**CAC** Client Acquisition Cost

**CR** Conversion Ratio

**CRM** Customer Relationship Management

**CSM** Customer Success Manager

**CE** Critical Event

**CCO** Chief Customer Officer

**CEO** Chief Executive Officer

**CRO** Chief Revenue Officer

**CTO** Chief Technical Officer

**ENT** Enterprise Business

**ICE** Impact and Critical Event

**LTV** Lifetime Value of a customer

**MAS** Marketing Automation System

**MDR** Marketing Development Representative

**MQL** Marketing Qualified Lead

**MRR** Monthly Recurring Revenue

**MTM** Moment That Matters

**POC** Proof of Concept

**ROI** Return on Investment

**SaaS** Software as a Service

**SAL** Sales Accepted Lead

**SDR** Sales Development Representative. Can be used interchangeably in this book with:

- ADR: Account Development Rep
- BDR: Business Development Rep
- MDR: Market Development Rep

**SMB** Small to Medium Business

**SQL** Sales Qualified Lead, same as opportunity

**VSB** Very Small Business (emerging) segment

**WR** Win Ratio

## WBD Acronyms and Key Words

| Phrase | Definition | When to use |
|---|---|---|
| **ACE** | Appreciate, Check Time, End Goal | Open any scheduled call |
| **CE** | Critical Event - more urgent than compelling | Any time to find customers timeline |
| **DDD** | Disarm, Diagnose, Describe next steps | Difficult conversations |
| **ICE** | Impact and Critical Event | Diagnose deeper partnership |
| **Feedback** | 1) Process and 2) Execution | When giving internal feedback |
| **REKS** | Results, Effort, Knowledge, Skills | Framework to coach reps |
| **RRR** | Relevance, Reward, Request | Customer-centric email structure |
| **SPICED** | Situation, Pain, Impact, Critical Event, Decision Process or Criteria | Diagnostic framework for any opportunity |
| **TALKER** | Tone, Ask, Listen, Keep Notes, Empathy, Repeat | Communication framework |
| **Wagons** | Connect end of one meeting to beginning of next | Meeting sequence for existing opportunity |
| **WWW** | Who you are, Why the call, What's in it for me | To open cold/unscheduled calls |